DBS Flash

India: Degrees of rupee defence

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- *The RBI has adopted a multi-layered defence strategy to support the rupee this year.*
- *Parallels with 2013 exist, although the circumstances differ.*
- *Rupee gains have been accompanied with distortions elsewhere.*
- *Authorities are likely not done and remain ready to take further action, if needed.*
- *Scope of further rate increases is high. Not a panacea but a necessary step.*
- *If FX depreciation pressures return, a larger scale of hike or inter-meeting move might also be considered.*

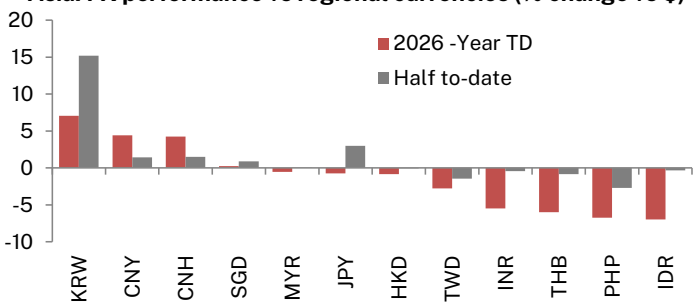
TAKING STOCK

The Reserve Bank of India (RBI) has adopted a multi-layered defence strategy to support the rupee this year.

This has entailed a combination of outright intervention in spot/ forwards, regulatory action, liquidity steps, administrative measures and moves to curb import-related dollar demand.

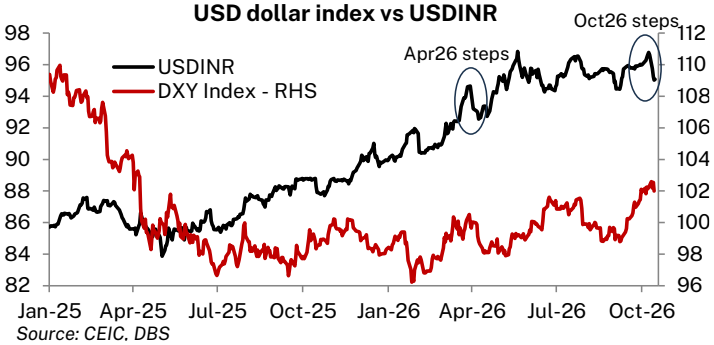
The rupee has appreciated by 1.8% against the dollar in the past five days since recent measures took effect, paring YTD depreciation to 5.5%. High oil prices, weakness in capital inflows, a firm dollar, tariffs/ geopolitical worries, energy, and risk-off sentiments have kept the INR under pressure since last year.

Asia: FX performance vs regional currencies (% change vs $)



Source: Bloomberg, DBS; as of 15-Oct

USD dollar index vs USDINR



Source: CEIC, DBS

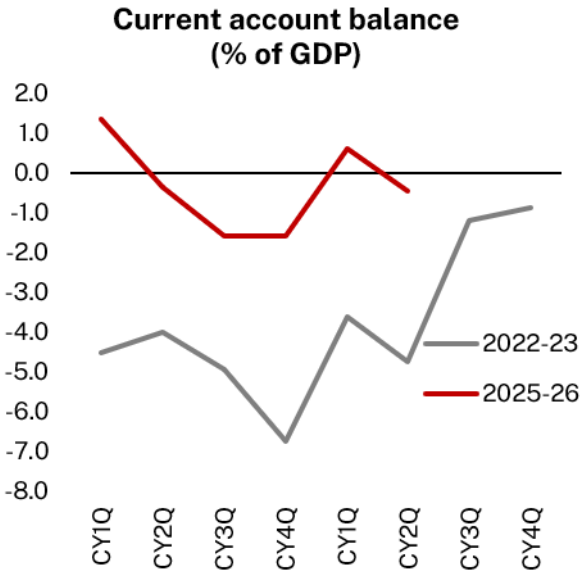
ECHOES OF 2013 WITH FEW DIFFERENCES

Comparisons with 2013 are apt, though the backdrop differs. As for the catalysts, markets reacted to the US Fed's taper announcement in 2013, which pushed US yields higher and led global investors to reduce exposure to vulnerable EM economies. As a result, capital inflows weakened, exposing funding mismatches for countries, including India, that were running wide current account deficits.

In 2026, markets face the spectre of elevated oil prices, geopolitical uncertainty, global competition for capital, a firm dollar (DXY appreciated +3.8% YTD), and US inflation/ deficits which have settled at levels much higher than pre-pandemic years. This has pushed up UST yields, and the US Fed kicked off its rate-hike cycle in Sep26.

Against this backdrop, **the RBI is pursuing the same objective, i.e., to ensure rupee stability, but the nature of the battle differs.** The defence strategy has shifted from 'crisis management' mode in 2013, due to weaker domestic macroeconomic balances (a wide current account gap, high inflation, a lower reserve buffer, and wide fiscal deficits), to a 'terms-of-trade shock and impact of a firm dollar' in 2026.

Flashpoints are nonetheless similar, with reliance on portfolio financing, leaving the external account vulnerable to shifts in global risk sentiment. Portfolio outflows have emerged as the primary transmission channel through which external shocks have translated into INR depreciation pressure, compounded by high energy prices and a firm dollar.



Source: CEIC, DBS

FX PLAYBOOK

While the response framework is similar between 2013 and this year, the broad sequence and nature of macroprudential measures differ. **This year's multi-layered rupee defence toolkit has included:**

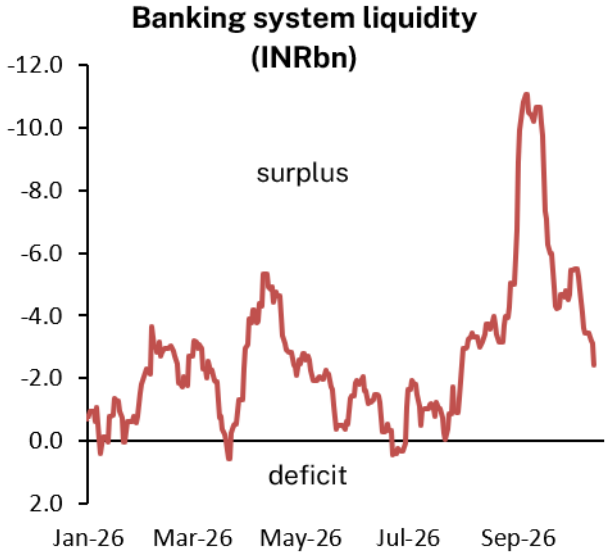
-***Direct FX defence*** by way of intervention in the spot and forwards market. As of Aug26, the net forward dollar liabilities ballooned to $200bn, rising by ~$63bn vs. the month before. Recent sell/buy FX swaps are expected to lower this stock in the coming months.

-***Attracting dollar inflows*** by way of special swap facilities for FCNR deposits, and offshore borrowings, apart from liberalising taxes around debt inflows,

amongst others. We discussed this here, here, here and here.

Taking a proactive stance, a portion of existing FX reserves could be earmarked against forward liabilities (from maturing FCNR deposits), helping to mitigate concerns that deposit maturities or debt repayments could trigger a sharp increase in dollar demand down the line.

-***Domestic liquidity management***. Bonds, to some degree, are paying the price for the authorities' efforts to defend the rupee against the additional headwind of weak global conditions. INR liquidity surged on the back of the swap windows, prompting the RBI to undertake open market operations, VRRR auctions, sell-buy swaps, among others. While these have been effective in absorbing balances, bond yields have drifted higher. 10Y yields are at three-year highs and are expected to climb further (DBSf: 7.40-7.50% by year-end).



Source: Bloomberg, DBS

-***Moderate FX demand and speculation***. Earlier in the year, the RBI had introduced changes to the banks' net open position framework, and thereafter partially rolled back a few curbs. Prudential measures on FX exposures and hedging-related measures were announced in Oct26, which included the introduction of a daily cash reserve with the RBI equal to 20% of the rupee equivalent of the notional value for INR-linked derivative contracts exceeding $2mn used to hedge current account transactions, referred to as the Foreign Exchange Risk Reserve (FERR). Subsequent clarifications provided operational details on where the FERR would be maintained and that it would be subject to audits.

Since 12 Oct, the RBI has been providing dollars via designated banks to the three state-owned oil-marketing companies (Indian Oil, BPCL, and HPCL) to meet the their daily dollar requirements, thereby diverting related spot-market demand.

On hedging-related matters, the limit for undertaking foreign exchange derivative transactions without proving an underlying commercial exposure was cut to $5mn from $100mn across all ADs and exchange-traded currency derivatives. Restrictions on Rebooking, i.e., authorized dealers are prohibited from allowing customers to rebook cancelled rupee-linked derivative contracts (though rollovers upon maturity remain permitted). Lastly, banks must obtain written confirmation from users that the same underlying exposure has not been hedged with another dealer. Data from CCI, cited by

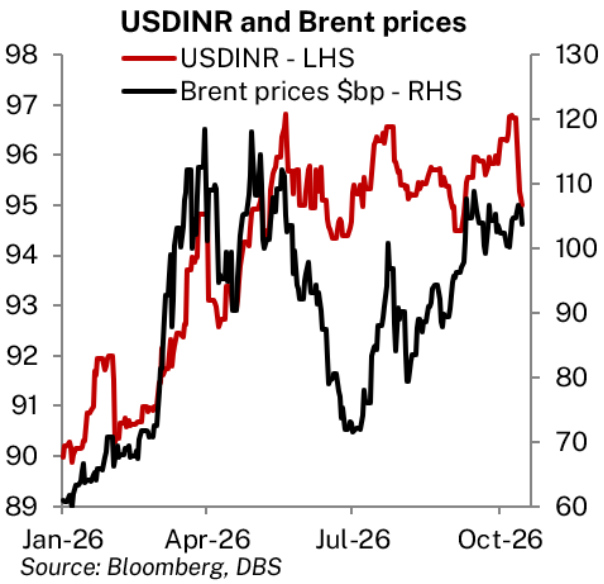
Bloomberg, pointed to importers' forward dollar purchases rising 44% on the year to a monthly average of $64bn.

-***Current account management***. Efforts to contain structural FX outflows by way of higher duties and taxes on gold imports discourage non-essential purchases and production incentives to improve export competitiveness.

IMPACT

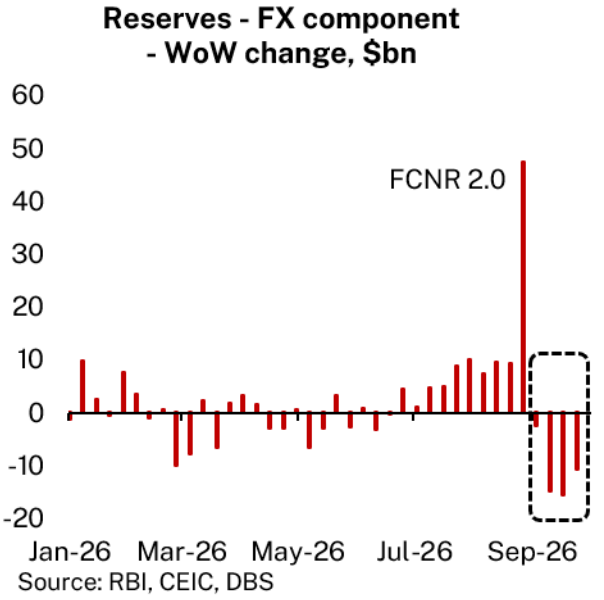
To assess whether the playbook has worked, we observe:

a) Rupee has enjoyed a brief respite. Despite oil prices at $105/bbl at the time of writing and elevated global yields, USDINR fell from near 96.80 towards 95.00, owing to measures announced in Oct26 following the central bank's 25bp hike. Beyond temporary relief, global catalysts are likely to be back to the fore and weigh on the currency (see chart);



Source: Bloomberg, DBS

b) Sharp inflows under the swap facilities pushed the foreign reserves stock to a record high, providing policymakers sufficient buffer to navigate future shocks from a position of strength. A strong interventionist response has since led to a softening in the overall stock (see chart).



Source: RBI, CEIC, DBS

c) Macroprudential measures have led to distortions in other parts of the market. For instance, strong swap-related inflows had inorganically pushed onshore INR liquidity up sharply, necessitating absorption measures. Similarly, NOP restrictions and the more recent tighter requirements on hedging activity and counterparty transactions had some after-effects. Forward points have surged this week, with financial institutions pointing to relative illiquidity in the currency forwards market on volumes and activity basis, and fewer avenues to deal with dollar supply.

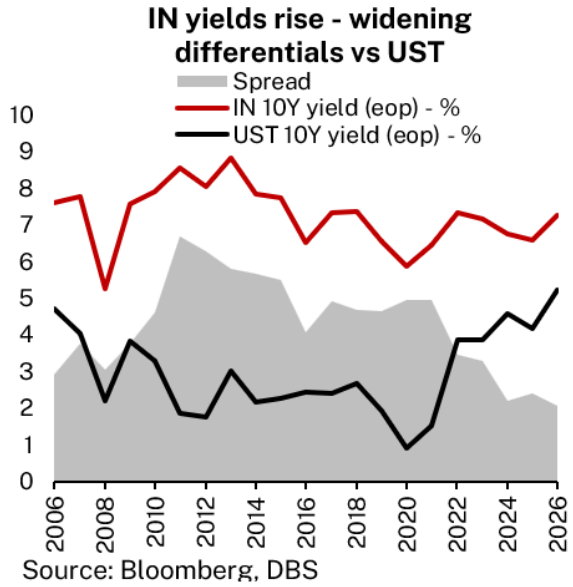


d) Swap-related windows are a timely support for the country's balance of payments position. From expectations of a third consecutive year of BOP deficit in FY27, the math has now swung to a potential surplus, even as current account worries remain. With energy prices settling north of $100/bbl, keeping the monthly trade deficit near $30bn, our FY27 current account deficit forecast of 1.1% of GDP faces upside risks of around 0.3-0.5% of GDP. We note the sharp jump in ECB outflows in Sep, though see that as a temporary overshot of leverage-FCNR activity.

WHAT LIES AHEAD

Authorities are likely not done yet and remain ready to take further action, as required. RBI Governor Malhotra reiterated the authorities' serious intent of stabilising the currency in a recent interview (Moneycontrol, 13 Oct), emphasising that "The RBI is determined to do whatever is necessary to ensure orderly movement in the foreign exchange market,". He also highlighted that recent steps were not tantamount to capital control measures that were aimed at ensuring that forex markets serve genuine hedging needs rather than speculative bets. Market participants opine that FX volumes and interest are likely to be subdued in a few pockets on the back of the recent measures, consequently stabilizing the rupee.

Unlike in 2013, when policy tightening was a part of the initial response, the 2026 strategy has prioritised targeted FX and regulatory measures. The sequencing suggests a deliberate effort to distinguish actions aimed at preserving currency stability from those intended to achieve domestic monetary objectives, with rates remaining a potential, though not immediate, tool in the defence framework.



However, global developments have altered that dynamic. Rising US yields and a gradual increase in the US Fed Funds rate (DBS baseline: a total of 75bp hikes) have compressed IN-US spreads. The recent sell-off in INR benchmark

bonds has effectively widened Gsec-UST spreads across maturities, in contrast to the compression witnessed in regional high-yielders.

The latest announcements may not fully quell speculation over further policy action.

Upcoming measures might include -

-Markets anticipate relief on the long-term capital gains tax structure on equities to draw in longer-duration inflows. This measure will boost inflows if it coincides with other factors that make domestic equities attractive for thematic investing, as global risk-free rates moderate.

-Street expectations also include steps to boost inward dollar repatriation by exporters to boost domestic dollar supply.

-Wider policy rate corridor akin to 2013.

-Policy rate response. While this might not be a panacea, it is a likely necessary condition. Raising the neutral rate might have mixed success in attracting capital market inflows; though rate-sensitive flows are likely to get a fillip as investors seek attractive rate differentials in the region.

An adequate real rate cushion would also align with the evolving domestic inflation realities, which are expected to accelerate to 6% in the Oct-Dec quarter and remain above 5% well into 2027.

Given fluid global developments, we outline three scenarios on the rate path ahead. Our baseline assumption is for 75bp hikes in this cycle (including Oct), spread between the December and February 2027 meetings. **We don't rule out an intermeeting rate hike before the December meeting, contingent on rupee movements.**

Under the second scenario, should depreciation pressures on the rupee return, the 50bp hike might be brought forward to December, with another in February, taking cumulative hikes in this cycle to 100bp. **The third scenario** is a more aggressive 150bp worth of hikes in this cycle, with 50bp front-loaded in December, and the rest spilling into 2027. **Factors that will determine whether these scenarios materialise** are the resumption and scale of rupee depreciation, oil price direction, US Fed Funds rate increases (DBSf: total 75bps) and other risk-off events.

Path ahead

Despite these measures, we see limited room for sustained INR appreciation on grounds of manufacturing/ trade competitiveness. A challenging flows portfolio flows outlook leaves the door open to further gradual rupee depreciation subject to global developments, with high sensitivity to oil price movements and risk sentiments. A strong rate response will help introduce favourable rate differentials and reduce currency volatility.

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The Week Ahead
Forecasts, data preview, central bank watch

16 October 2026

KEY DATA RELEASES AND EVENTS NEXT WEEK

- *PBOC to leave policy unchanged*
- *BI and BoK to pause; BSP to hike*
- *Taiwan's September trade data to underscore AI cycle's strength*



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The Week Ahead covers the key data releases and central bank events of the coming week, collating our macro forecasts.

KEY FORECAST FOR THE COMING WEEK

Event	DBS	Previous
Oct 19 (Mon)		
China: GDP (3Q)	4.3%y/y	4.3% y/y
- retail sales (Sep)	0.3% y/y	0.4% y/y
- industrial production	5.3% y/y	5.2% y/y
- fixed asset investment	-7.5% y/y ytd	-7.2% y/y ytd
Malaysia: CPI (Sep)	2.1% y/y	1.9% y/y
- exports (Sep)	45.0% y/y	45.5% y/y
- imports	44.0% y/y	41.1% y/y
- trade balance	MYR30.9bn	MYR28.1bn
Oct 20 (Tue)		
China: 1Y loan prime rate	3.00%	3.00%
Oct 21 (Wed)		
Indonesia: BI-rate	5.75%	5.75%
Japan: exports (Sep)	24.1% y/y	19.3% y/y
- imports	23.0% y/y	18.0% y/y
- trade balance	JPY27.4bn	-JPY1106bn
Oct 22 (Thu)		
Philippines: BSP overnight borrowing	5.25%	5.00%
South Korea: BOK base rate	3.00%	3.00%
Hong Kong: CPI (Sep)	1.9% y/y	1.7% y/y
Oct 23 (Fri)		
Japan: CPI (Sep)	2.6% y/y	1.9% y/y
Taiwan: industrial production (Sep)	23.5% y/y	23.5% y/y
Singapore: CPI (Sep)	2.4% y/y	2.3% y/y

CENTRAL BANK MEETINGS

People Bank of China (October 20)

We expect the PBOC to keep the 1Y LPR unchanged next week. Industrial production is expected to edge up from 5.2% yoy in August to 5.3% in September, supported by firm external demand. Exports stayed strong, rising 36.3% yoy in September, driven by the regional AI-electronics upcycle.

Domestic momentum, however, remains uneven. Retail sales growth is expected to moderate to 0.3% yoy in September. Household sentiment is weak amid uncertain job prospects, slower income growth and elevated precautionary savings, while subdued property prices continue to weigh on household wealth and consumption. Investment also stays weak, with fixed asset investment expected to contract further by 7.5% yoy ytd in September. Corporate investment is cautious amid the anti-involution campaign and geopolitical tensions, while the property sector continues to be a major drag.

Policymakers are likely to maintain a measured policy stance, relying on targeted fiscal support to sustain growth rather than further rate cuts.

Bank Indonesia and Bangko Sentral ng Pilipinas (Oct 21 and 22).

Bank Indonesia is expected to extend its pause, as they lean on non-rate measures, including intervention and hedging facilities to help the currency. On Friday, **MSCI signaled a potential shift in Indonesia's status to a standalone status,** rather than a reclassification to frontier market, after consultations are complete in mid-2027. Any ensuing risk-off move in the currency, would likely prompt greater central bank vigilance and intervention.

Our base case for the benchmark rate to be held unchanged this quarter, backed by a lower conviction around back-to-back US rate hikes in Oct and relative rupiah stability. Separately, the government announced additional support for low-income households in 4Q by way of in-kind assistance and wage subsidies. This year's fiscal deficit is likely to close in at -2.85% of GDP, close to our forecast at -2.9%, but few uncertainties facing the 2027 math (note).

We expect a 25bp hike from the BSP to 5.25% in October, after three rate increases earlier in the year. Rising by the highest pace in Asia, Philippines inflation surged to 7.2% y/y in September from 6.1% in August, matching this year's peak and approaching a three-year high. Inflation risks remain tilted to the upside, driven by further public transport fare adjustments, elevated oil prices, recent wage hikes and peso depreciation. Fiscal space is, meanwhile, limited to support households, via subsidies and/ instate price caps. Governor Remolona also signalled that the BSP remains ready to act on rates to contain inflation. With inflationary pressures likely to be persistent, the likelihood of further hikes in 4Q26 rises.

Bank of Korea (October 22)

The Bank of Korea is expected to hold its policy rate at 3.00%, following back-to-back rate hikes in July and August. AI-driven growth momentum remains strong, as reflected in September export growth of around 80% YoY. However, the urgency for further tightening has eased, with CPI inflation stabilising at 2.9% YoY in September. The recent KOSPI correction and continued KRW strength also reduce the need for another near-term hike. We maintain our call for a final 25bp rate hike in November, bringing the policy rate to 3.25% by year-end.

FORTHCOMING DATA RELEASES

Japan

September trade and CPI data are due shortly. Export growth is expected to remain solid at 24% YoY, supported by continued strength in AI-related semiconductor exports. CPI inflation is projected to rise notably to 2.6% YoY, driven by the phase-out of public utility subsidies, higher global energy prices, and persistent inflationary pressures from a weak yen. The BOJ is likely to increasingly acknowledge that its 2% inflation target is within reach. However, it is expected to keep rates unchanged at 1.25% at its October 29–30 meeting to assess the impact of the latest rate hike in September.

Taiwan

September export orders and industrial production data are due shortly. Export orders are expected to sustain 60% YoY growth, while industrial production is projected to expand by 20% YoY. The global AI boom faces growing headwinds from hyperscalers' cash flow pressures, central bank rate hikes, and higher bond yields. However, our high-frequency indicators across AI demand (token expenditure), investment (hyperscaler capex and data centre construction spending), and supply (semiconductor sales and exports) show no clear signs of a significant slowdown so far.

Malaysia

Malaysia's external demand likely remained strong in September 2026, while inflation edged up slightly. We expect export growth to sustain its robust expansion at 45% yoy, with momentum anchored by strong demand for electrical and electronics goods. Oil & gas shipments likely remained buoyant. However, high base effects prevented a faster pace of expansion.

We expect headline inflation to rise modestly to 2.1% yoy in September 2026. The renewed increase in global oil prices likely contributed to higher increases in domestic energy costs, although fuel subsidies continued to limit the cost pass-through and keep underlying inflationary pressures contained. Food inflation likely also firmed, with adverse weather conditions associated with El Nino posing upside risks.

Singapore

We expect Singapore's core and headline inflation to edge up slightly to 2.3% yoy and 2.4% yoy, respectively, in September 2026, following modest increases to 2.2% yoy and 2.3% yoy in August. Inflationary pressures likely reflected firm private transport price increases amid higher petrol prices despite slower car price growth, the ongoing pass-through of higher global energy prices to fuel-exposed services items, positive contribution from elevated electricity & gas prices, firmer food inflation, and a slight increase in still-muted accommodation inflation. Firm, albeit not accelerating, inflation in September 2026, which may be close to its peak in the Monetary Authority of Singapore's assessment, likely validated its decision to maintain SGD NEER policy settings at the October 2026 review, following two proactive tightening moves in April and July.

Hong Kong

CPI is projected to edge up from 1.7% yoy in August to 1.9% in September, supported by improving consumption sentiment and higher global energy prices. Mainland visitor arrivals increased by 29.0% yoy in September on a daily average basis, providing further support to retail spending and consumer-related services. Meanwhile, renewed conflict in the Middle East during the month has pushed up global energy prices, adding to upward pressure on utility and transport costs.

GROWTH, INFLATION, POLICY RATES & FX FORECASTS

	GDP GROWTH, % YOY				CPI INFLATION, % YOY			
	2025	2026f	2027f	2028f	2025	2026f	2027f	2028f
CHINA	5.0	4.5	4.3	4.0	0.0	1.0	1.0	1.0
HONG KONG	3.5	3.8	2.8	2.5	1.4	2.0	2.0	2.0
INDIA	7.3	7.8	7.0	6.8	2.2	4.6	5.0	4.2
*INDIA (FISCAL YEAR) **	*7.8*	*7.3*	*7.0*	*6.8*	*2.1*	*5.3*	*4.7*	4.5
INDONESIA	5.1	5.3	5.2	5.2	1.9	3.3	2.5	2.2
MALAYSIA	5.2	5.2	4.5	4.3	1.4	2.0	2.0	2.0
PHILIPPINES**	4.5	3.0	4.0	4.5	1.7	6.5	5.5	3.5
SINGAPORE	5.0	5.7	3.5	2.8	0.9	2.0	1.8	1.6
SOUTH KOREA	1.0	3.5	2.4	2.0	2.1	2.6	2.7	2.7
TAIWAN	8.8	11.6	5.6	3.8	1.7	2.0	2.1	1.9
THAILAND	2.4	2.1	2.0	2.2	-0.1	1.7	1.0	1.2
VIETNAM	8.0	9.1	8.0	7.2	3.3	4.8	3.3	3.0
EUROZONE	1.5	1.2	1.2	0.9	2.2	3.1	2.1	2.0
JAPAN	1.2	0.9	1.0	0.9	3.2	1.8	1.5	2.0
UNITED STATES***	2.1	2.3	2.2	2.0	2.7	3.3	2.8	2.4

** 2020 = Fiscal year Apr20-Mar21 ** new CPI series *** eop for CPI inflation*

POLICY INTEREST RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
CHINA*	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
INDIA	5.25	5.25	5.25	5.75	6.00	6.00	6.00	6.00
INDONESIA	4.75	5.75	5.75	5.75	5.75	5.75	5.75	5.75
MALAYSIA	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75
PHILIPPINES	4.25	4.75	5.00	5.50	5.50	5.50	5.50	5.50
SINGAPORE**	1.16	1.16	1.60	1.80	2.00	2.00	2.00	2.00
SOUTH KOREA	2.50	2.50	3.00	3.25	3.25	3.25	3.25	3.25
TAIWAN	2.00	2.00	2.00	2.13	2.13	2.13	2.13	2.13
THAILAND	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
VIETNAM***	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50
EUROZONE^	2.00	2.25	2.50	2.75	3.00	3.00	3.00	3.00
JAPAN	0.75	1.00	1.25	1.25	1.50	1.75	1.75	1.75
UNITED STATES	3.75	3.75	4.00	4.25	4.50	4.50	4.50	4.50

** 1-yr Loan Prime Rate; ** 3M SORA OIS ; *** refinancing rate; ^ deposit facility rate*

EXCHANGE RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
USD/CNY	6.89	6.79	6.69	6.60	6.63	6.65	6.68	6.70
USD/HKD	7.84	7.84	7.83	7.83	7.83	7.83	7.83	7.83
USD/INR	94.8	94.7	95.8	95.6	95.7	95.8	95.9	96.0
USD/IDR	17041	17907	17720	17400	17470	17530	17600	17660
USD/MYR	4.05	4.08	4.07	4.00	4.04	4.08	4.11	4.15
USD/PHP	60.7	61.3	62.6	61.5	62.1	62.8	63.4	64.0
USD/SGD	1.29	1.29	1.28	1.26	1.27	1.27	1.28	1.29
USD/KRW	1516	1549	1395	1400	1410	1420	1425	1435
USD/THB	32.6	33.2	33.3	32.6	32.8	32.9	33.0	33.2
USD/VND	26340	26310	26000	25840	25980	26120	26260	26400
AUD/USD	0.69	0.69	0.71	0.71	0.71	0.70	0.70	0.70
EUR/USD	1.16	1.14	1.15	1.18	1.17	1.17	1.16	1.15
USD/JPY	159	163	156	151	153	154	155	157
GBP/USD	1.32	1.33	1.34	1.36	1.35	1.34	1.33	1.32

INTEREST RATE FORECASTS

		2026				2027			
		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
US	3M SOFR OIS	3.68	3.75	3.90	4.15	4.40	4.40	4.40	4.40
	2Y	3.79	4.16	4.60	4.65	4.70	4.70	4.70	4.70
	10Y	4.32	4.45	5.00	5.10	5.20	5.20	5.20	5.20
	10Y-2Y	52	29	40	45	50	50	50	50
Japan	3M TIBOR	1.27	1.41	1.50	1.60	1.75	1.85	1.85	1.85
	2Y	1.35	1.39	1.60	1.70	1.85	1.95	1.95	1.95
	10Y	2.35	2.72	2.80	2.85	2.95	3.00	3.00	3.00
	10Y-2Y	100	133	120	115	110	105	105	105
Eurozone	3M EURIBOR	2.08	2.32	2.70	2.95	3.20	3.20	3.20	3.20
	2Y	2.62	2.53	3.21	3.00	3.20	3.20	3.20	3.20
	10Y	3.00	2.86	3.59	3.40	3.50	3.60	3.70	3.80
	10Y-2Y	39	33	38	40	30	40	50	60
Indonesia	IDR 3M OIS	4.12	6.45	5.90	5.90	5.90	5.90	5.90	5.90
	2Y	6.31	7.21	6.90	6.80	6.70	6.65	6.60	6.50
	10Y	6.86	7.16	7.00	6.95	6.90	6.90	6.90	6.90
	10Y-2Y	55	-5	10	15	20	25	30	40
Malaysia	3M KLIBOR	3.37	3.45	3.35	3.35	3.35	3.35	3.35	3.35
	3Y	3.26	3.26	3.35	3.30	3.30	3.25	3.25	3.25
	10Y	3.63	3.60	3.80	3.85	3.85	3.85	3.80	3.80
	10Y-3Y	37	35	45	55	55	60	55	55
Philippines	3M NDF implied yield	6.09	4.94	5.55	6.05	6.05	6.05	6.05	6.05
	2Y	5.42	6.08	6.20	6.25	6.25	6.30	6.35	6.35
	10Y	6.98	6.90	7.35	7.45	7.50	7.55	7.60	7.65
	10Y-2Y	156	82	115	120	125	125	125	130
Singapore	3M SORA OIS	1.16	1.16	1.60	1.80	2.00	2.00	2.00	2.00
	2Y	1.61	1.58	1.95	2.10	2.20	2.20	2.20	2.20
	10Y	2.29	2.04	2.50	2.60	2.70	2.70	2.70	2.70
	10Y-2Y	68	45	55	50	50	50	50	50
Thailand	3M BIBOR	1.15	1.15	1.15	1.15	1.15	1.15	1.15	1.15
	2Y	1.41	1.14	1.15	1.20	1.25	1.30	1.35	1.35
	10Y	2.23	2.04	2.10	2.20	2.30	2.40	2.50	2.60
	10Y-2Y	82	90	95	100	105	110	115	125
China	1Y LPR	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
	2Y	1.37	1.25	1.25	1.25	1.25	1.25	1.25	1.25
	10Y	1.86	1.73	1.75	1.80	1.80	1.85	1.85	1.85
	10Y-2Y	48	48	50	55	55	60	60	60
Hong Kong, SAR	3M HIBOR	2.36	2.97	3.10	3.35	3.60	3.60	3.60	3.60
	2Y*	2.82	3.43	3.90	3.95	4.00	4.00	4.00	4.00
	10Y*	3.08	3.45	4.20	4.30	4.40	4.40	4.40	4.40
	10Y-2Y	26	2	30	35	40	40	40	40
Korea	3M CD	2.82	2.92	3.25	3.50	3.50	3.50	3.50	3.50
	3Y	3.56	3.70	3.75	3.90	3.90	3.90	3.90	3.90
	10Y	3.88	4.07	4.20	4.35	4.35	4.35	4.35	4.35
	10Y-3Y	32	37	45	45	45	45	45	45
India	3M MIBOR	7.25	6.61	6.30	6.90	6.90	6.90	6.90	6.90
	2Y	6.37	5.99	6.54	6.95	7.15	7.15	7.15	7.15
	10Y	7.04	6.75	7.19	7.45	7.60	7.60	7.60	7.60
	10Y-2Y	67	76	65	50	45	45	45	45

%, eop, govt bond yield for 2Y and 10Y, spread bps
Sources: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research (forecasts and transformations)

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DBS Focus

Taiwan: AI, energy and 4Q outlook

13 October 2026



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- *The global landscape remains complex, shaped by AI, energy prices and tariffs.*
- *Taiwan's AI cycle remains strong, with robust AI exports and investment and an intact semiconductor competitive moat.*
- *AI is generating broader domestic spillovers, with wealth effects and wage growth supporting consumption.*
- *Taiwan is cushioning the energy shock by diversifying energy imports and absorbing much of the increase in upstream costs.*
- *AI-driven growth is likely to moderate from 4Q26 into 2027, as hyperscaler cash-flow pressures rise and higher global rates lift investment costs.*
- *Energy remains an inflation risk, with domestic electricity prices facing upward pressure after the November local elections.*
- *GDP growth is expected to moderate to high-single digits from 4Q26, while we maintain our 11.6%/5.6% GDP forecasts for 2026/27.*
- *Inflation is likely to remain above 2% in 4Q26, with our 2.0%/2.1% CPI forecasts for 2026/27 unchanged.*
- *We maintain our call for CBC to hike 12.5bp to 2.125% in December, amid tighter liquidity conditions.*
- *Housing should recover gradually despite credit easing, as excess new-home inventory remains an overhang.*

Global backdrop

The global landscape remains complex, shaped by the interplay of AI, energy prices and tariffs, with significant implications for growth, inflation and financial conditions.

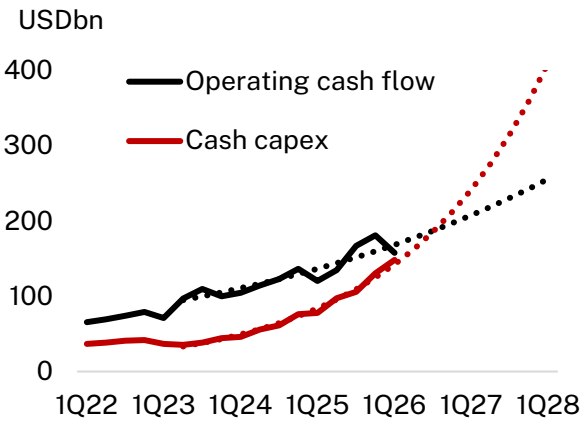
1) AI

The debate over the durability of the AI investment boom continues. Tailwinds include technological advances, broader adoption, and strategic and geopolitical considerations. Headwinds range from uncertainty over investment returns and hyperscaler financing pressure to physical bottlenecks, safety concerns, and regulatory uncertainty.

Hyperscaler financing pressure has attracted increasing attention. In the early stages of the AI investment boom, hyperscaler capex was largely financed by internal cash flow. This is now changing, as free cash flow is expected to turn negative from 4Q, requiring major players to rely on debt issuance and other external financing increasingly.

At the same time, higher global interest rates are raising the cost of AI investment. The Fed resumed rate hikes at its September meeting, while global bond yields remain under upward pressure amid persistent inflation and elevated public and private borrowing needs. Our baseline assumes US rates will rise by 50bps this year and a further 25bps in 2027 to 4.50%, with global long-term rates also remaining under pressure. This could increasingly weigh on the economics and pace of AI investment.

Hyperscaler cash flow vs. capex

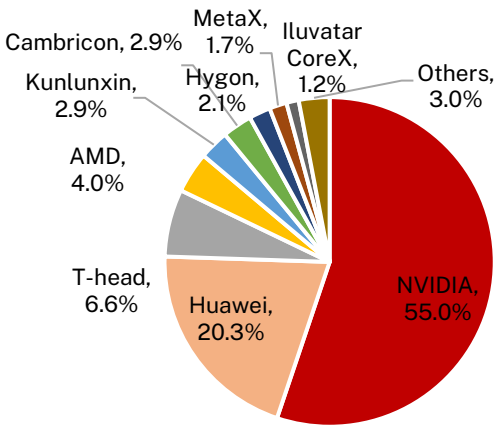


Sources: EPOCH AI, DBS
Notes: Hyperscalers include Microsoft, Amazon, Alphabet, Meta, and Oracle

US-China AI competition is also drawing increasing attention. Across the five layers of the AI ecosystem, China is making rapid progress in energy, infrastructure, AI models and applications, supported by its large scale, cost-effective domestic manufacturing supply chains and huge consumer market, which provides a wide range of real-world scenarios for AI adoption. The emergence of a more integrated and cost-competitive Chinese AI ecosystem could increasingly challenge the US ecosystem, which currently operates at a relatively higher cost.

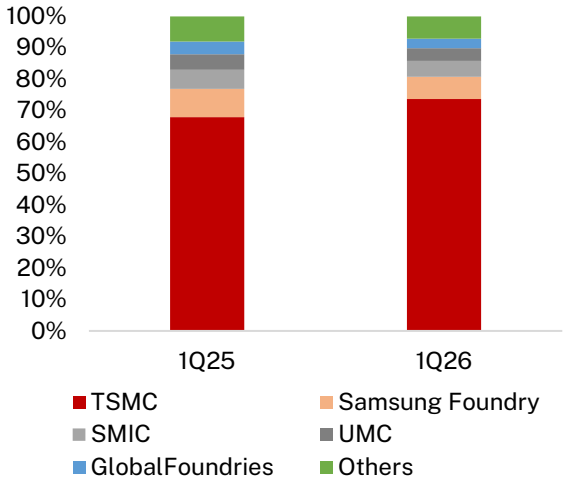
China, however, remains relatively weak in semiconductors. Around half of China's domestic AI chip market still relies on foreign suppliers, including lower-end NVIDIA chips. This semiconductor bottleneck remains a key constraint on China's AI development. In our view, Taiwanese semiconductor companies' competitive moat therefore remains largely intact in the near term.

China's AI chip market share, 2025



Sources: Trendforce, DBS

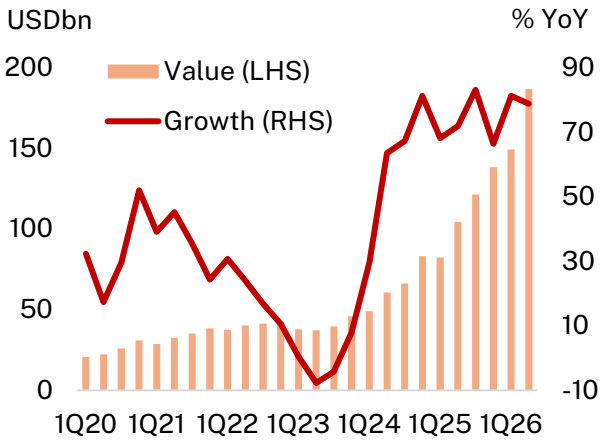
Global pure foundry market share



Sources: Counterpoint, DBS

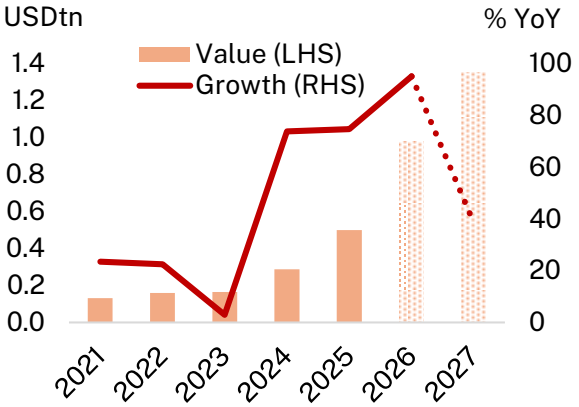
So far, there is limited evidence of a significant slowdown in AI investment or semiconductor demand. Hyperscaler capex maintained robust yoy growth through 2Q, while Bloomberg forecasts growth to moderate from 95% this year to 39% in 2027. Similarly, global semiconductor sales remained strong through 3Q, while WSTS expects growth to moderate from 90% this year to 27% in 2027.

Hyperscaler capex



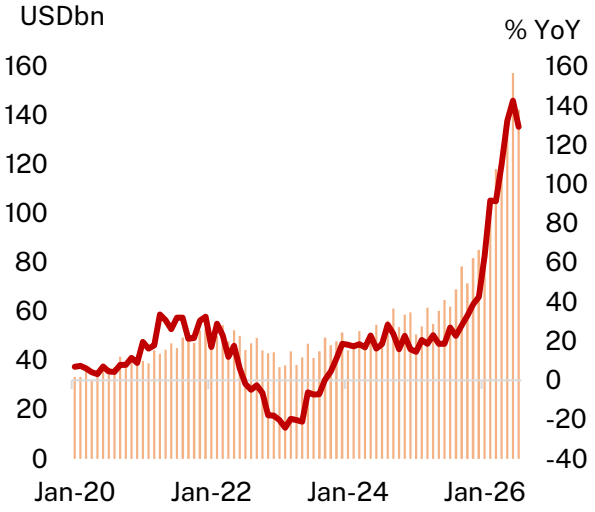
Sources: Bloomberg, DBS
Notes: Hyperscalers include Microsoft, Amazon, Alphabet, Meta, and Oracle

Hyperscaler capex forecast



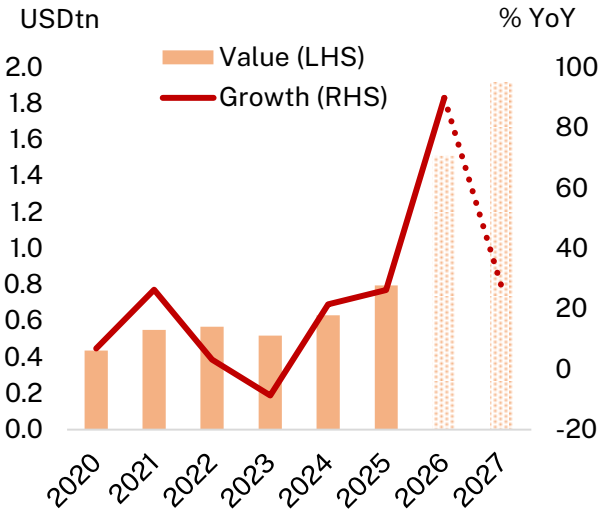
Sources: Bloomberg, DBS
Notes: Hyperscalers include Microsoft, Amazon, Alphabet, Meta, Oracle, Tier 2/Neoclouds, and Chinese players.

Global semiconductor sales



Sources: WSTS, DBS

Global semiconductor sales forecast



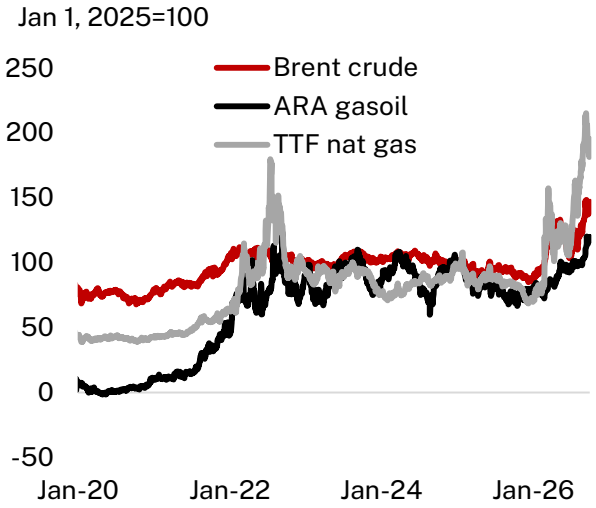
Sources: WSTS, DBS

2) Energy

The US-Iran conflict remains at a standoff, keeping the energy-price outlook highly uncertain. New developments are likely after the US midterm elections in November, with both further escalation and de-escalation possible. Crude oil prices have remained elevated at around USD100/bbl amid a persistent geopolitical risk premium. In contrast, refined product prices have risen more sharply as refining disruptions and tighter product logistics have amplified the supply shock. Natural gas prices have also increased sharply, reflecting disruptions to LNG supply and limited alternative shipping routes.

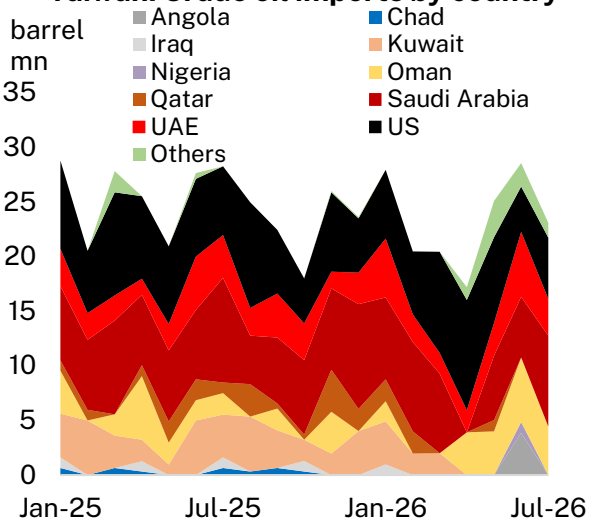
Taiwan has been actively diversifying its energy import sources to cushion the impact. LNG imports from Qatar have fallen to zero since April, while imports from the US and other suppliers have surged to offset the shortfall, helping maintain stable domestic electricity supply.

ICE energy prices



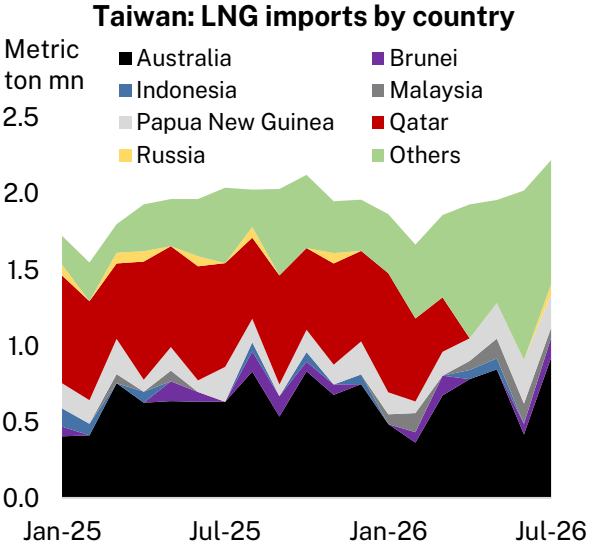
Sources: Bloomberg, DBS

Taiwan: Crude oil imports by country



Sources: CEIC, DBS

Taiwan: LNG imports by country



Sources: CEIC, DBS

3) Tariffs

US tariff actions are likely to accelerate after the US midterm elections in November. Two major tariff measures remain in the pipeline. The Section 301 forced-labor tariff was implemented in July, while final tariff action under the Section 301 overcapacity investigation, which covers 16 economies, remains pending. Meanwhile, Phase 1 of the Section 232 semiconductor tariffs was implemented in January, while Phase 2, covering a broader range of semiconductor-related products, remains pending.

Taiwan has secured a relatively favourable framework through its trade and investment agreements with the US. Taiwan signed an Agreement on Reciprocal Trade (ART) and an Investment MOU with the US earlier this year. The ART establishes a 15% US tariff rate on Taiwanese goods, while the MOU provides Taiwan with preferential treatment under Section 232, including for semiconductors. The ART has yet to enter into force, and it remains to be seen how the final Section 301 tariff burden will interact with the 15% ART framework. Meanwhile, major Taiwanese companies such as TSMC are expanding their US investments under the Investment MOU, which could support relatively favourable treatment for Taiwan when broader Section 232 semiconductor tariffs are introduced.

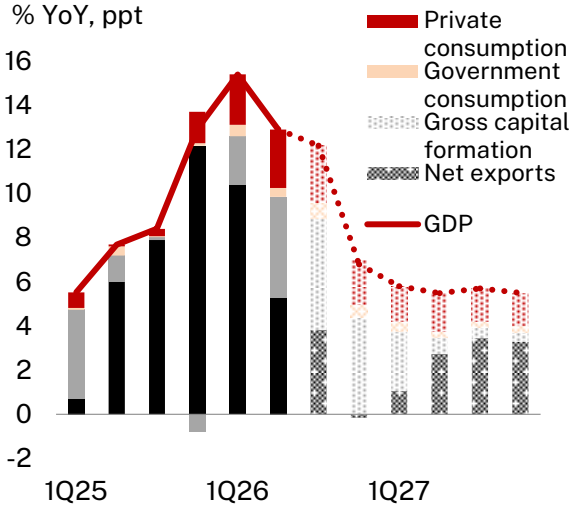
Taiwan 4Q outlook

Taiwan has navigated the complex global environment relatively well so far this year, supported by robust AI exports and investment, diversified energy imports, and efforts to absorb higher upstream energy costs. Some normalisation is likely in 4Q26–2027, as the AI-driven growth boost moderates and domestic energy prices face greater pressure to adjust.

1) Growth

GDP growth remains broadly on track with our expectations. High-frequency indicators suggest that GDP growth should remain around 12% yoy in 3Q, broadly in line with 12.9% in 2Q but below the 15.4% peak in 1Q. Growth is expected to moderate to a high-single-digit pace from 4Q onwards. **We maintain our full-year GDP growth forecasts at 11.6% for 2026 and 5.6% for 2027.**

Taiwan: GDP growth forecast



Sources: CEIC, DBS

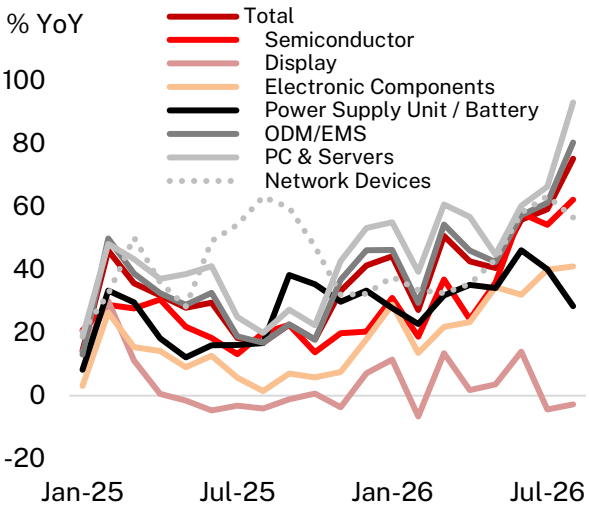
The AI cycle remains the key driver of Taiwan's growth. Information and communication products and electronic components accounted for nearly 80% of total exports in the first nine months of this year, while manufacturing accounts for nearly 50% of gross fixed

capital formation. From 4Q onwards, export growth is expected to moderate from exceptionally strong levels to a more normal but still robust pace, broadly following the trajectory of global hyperscaler capex and semiconductor sales. Investment is likely to follow a similar path.

For now, Taiwanese technology companies continue to report robust revenue growth, led by semiconductors, ODMs/EMS, and PCs and servers. Capacity utilisation at leading Taiwanese foundries has also continued to rise, suggesting that investment demand remains strong.

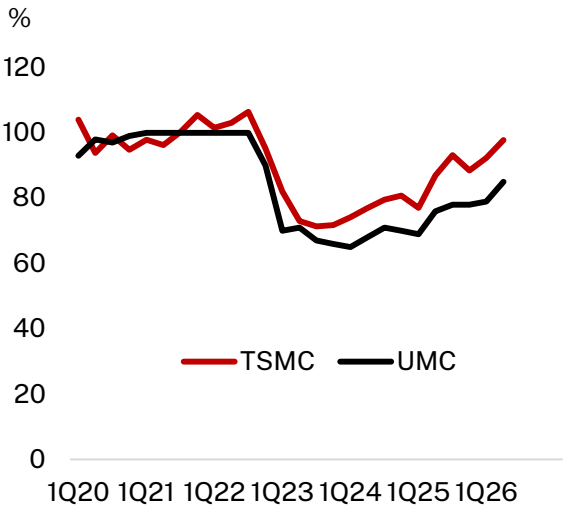
The AI boom is also beginning to generate broader spillovers to the domestic economy. The AI-driven equity rally has generated significant wealth effects, with the TAIEX up 70% year-to-date and Taiwan becoming the world's fifth-largest stock market. Taiwanese households have benefited from the appreciation of financial assets, with equities and mutual funds accounting for nearly 30% of total household financial assets. The equity rally has also generated positive income effects. Wage growth has picked up, led by the services sector, particularly financial services, as strong earnings at financial institutions — especially securities firms — have prompted higher compensation to retain talent. These wealth and income gains should support household consumption, creating a positive feedback loop that broadens the benefits of the AI boom across the wider economy.

Taiwan: Tech sector revenue



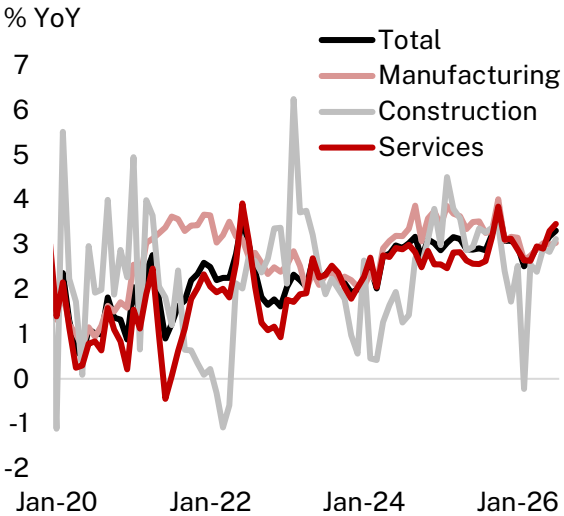
Sources: Bloomberg, DBS

Taiwan: Foundry capacity utilization



Sources: Bloomberg, DBS

Taiwan: Base wage growth by sector

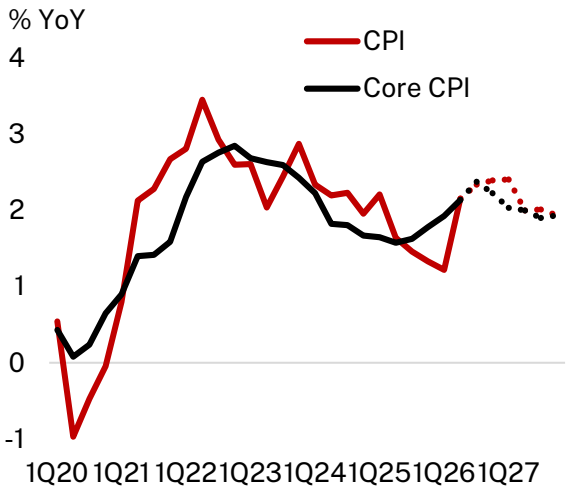


Sources: CEIC, DBS

2) Inflation

CPI inflation is also tracking broadly in line with our forecast. Headline CPI remained elevated at 2.4% yoy in 3Q, up from 1.2% in 1Q and 2.2% in 2Q. **We maintain our forecast for headline CPI inflation to remain close to 2.5% in 4Q, and retain our full-year forecasts at 2.0% for 2026 and 2.1% for 2027.**

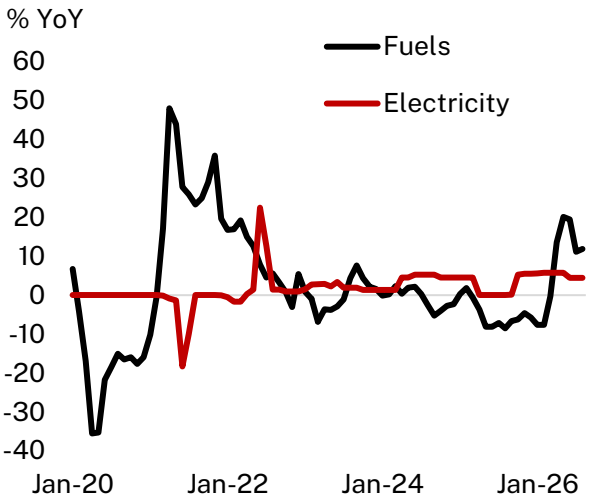
Taiwan: CPI inflation forecast



Sources: CEIC, DBS

Energy inflation remains the main upside risk. The government has absorbed much of the increase in energy costs through state-owned CPC and Taipower, limiting the pass-through to domestic consumers. With losses at both companies widening, the government will need to decide whether to provide additional subsidies to cover the losses or allow further increases in domestic energy prices. The September review postponed the adjustment to the December meeting, when the overall situation will be reassessed after the November local elections. Taipower's latest review indicated that electricity rates would need to rise by 12.8%. A hike in electricity prices could lift inflation expectations and generate second-round effects, particularly as the labour market tightens and wage pressures increase.

Taiwan: CPI - energy prices



Sources: CEIC, DBS

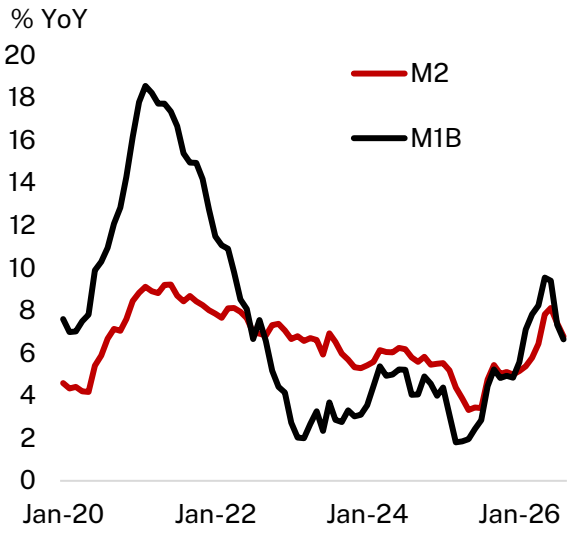
3) Monetary policy

The central bank kept the policy discount rate unchanged at 2.00% at its September meeting, in line with our expectations. **We continue to expect a modest 12.5bp rate hike at the December meeting, bringing the policy rate to 2.125%.** By then, CPI inflation is likely to have remained above 2% for around six consecutive months. The possibility of an increase in electricity prices following the November local elections could further lift inflation expectations, strengthening the case for a December rate hike.

Financial conditions have already tightened despite the absence of a policy rate hike. M2 growth remained around 7% yoy in 3Q, well below double-digit nominal GDP growth. At the same time, bank loan growth has accelerated to more than 10% yoy, driven by strong

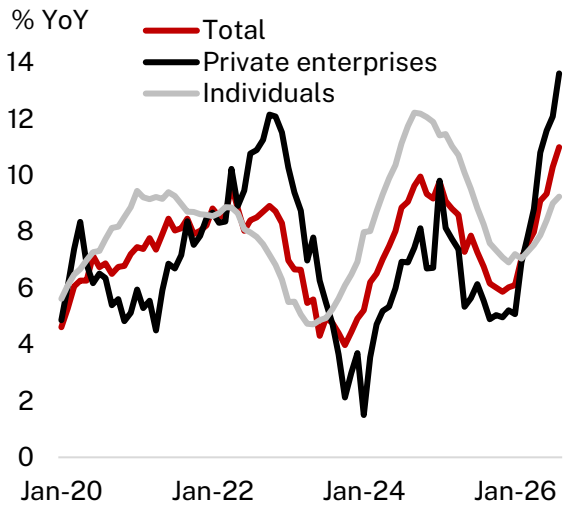
corporate credit demand, particularly AI-related fundraising by technology companies. Tighter financial conditions are also evident in rising market interest rates, including commercial paper rates and government bond yields.

Taiwan: Money supply



Sources: CEIC, DBS

Taiwan: Bank loans



Sources: CEIC, DBS

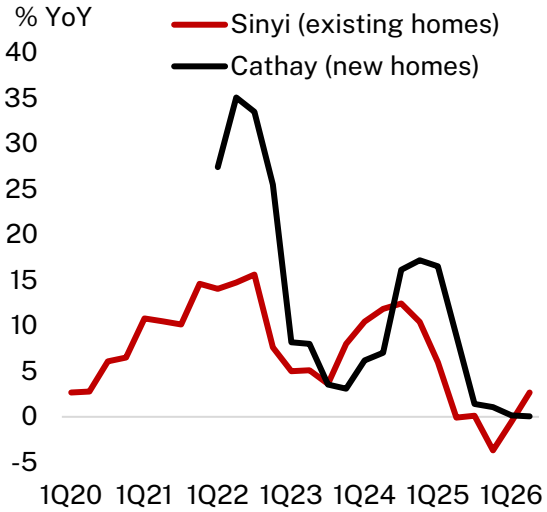
The central bank has continued to ease housing credit controls gradually. At its September meeting, it raised the LTV cap on second-home mortgage loans to 70%, the second easing of housing credit controls this year. There is scope for further easing, including removing the LTV cap on second-home loans or raising the LTV caps for third- and fourth-home loans and high-value properties, which currently stand at 30%. However, the central bank is likely to proceed cautiously, given concerns that a faster relaxation could reignite speculative demand and put renewed upward pressure on housing prices.

4) Housing

A gradual and modest recovery in the housing market is expected from 4Q26 into 2027. The existing-home market has already shown early signs of recovery, with Sinyi housing prices returning to slightly positive yoy growth since 2Q. Total building transactions also returned to positive yoy growth in 3Q. The easing of credit controls should help reinforce this modest recovery trend.

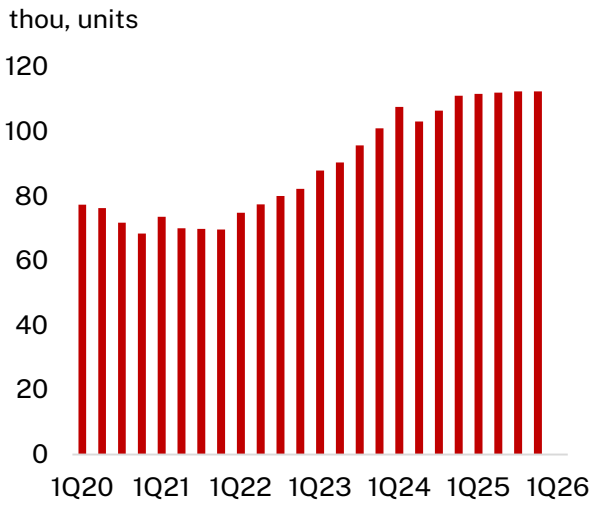
The new-home market remains under pressure. The number of new units under construction has started to decline since 2023, while new completions are only beginning to ease this year. Demand remains weak, as potential buyers continue to wait for lower prices. Unsold new homes stood at 113K units at end-2025, compared with a historical normal level of around 80K, implying excess inventory of roughly 30K units. At the current pace of new-home transactions, it would take roughly one year to normalize the existing excess inventory, and longer when factoring in the new supply pipeline. Some industry experts estimate that it could take as long as 3.8 years digest current inventories fully (here).

Taiwan: Residential property prices



Sources: CEIC, DBS

Taiwan: Unsold new homes



Sources: Ministry of the Interior, DBS

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DBS Flash

INDONESIA: Policy mix aligns

12 OCTOBER 2026

Radhika Rao, Senior Economist
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- *Indonesia's macro narrative has turned more constructive in 2H26.*
- *Key domestic policy concerns have eased.*
- *Policy alignment has improved.*
- *Greater fiscal discipline should allow BI to remain focused on price stability.*
- *The current account is likely to widen as the trade surplus narrows.*
- *Portfolio and FDI inflows should, however, narrow the BOP shortfall.*
- *Few monitorables remain, including factors in the 2027 fiscal math.*
- *IDR performance will remain heavily influenced by global conditions.*

SHIFT IN NARRATIVE

After a rough first half of the year, the narrative around Indonesia's economy has turned relatively constructive. The macro outlook is on the mend, and policy coherence has strengthened. Recent budget developments have reduced the likelihood of an outright fiscal slippage. A more disciplined fiscal trajectory should also provide room for monetary policy to stay focused on its price stability mandate rather than on addressing financial stability risks due to fiscal concerns.

On the markets front, even as external triggers impacted the rupiah, the one-sided sharp depreciation run in the currency in the first half of the year has stalled. Debt markets have attracted offshore interest, alongside strong demand for shorter-tenor SRBI securities, all of which have contributed to the overall capital flows picture.

Ahead of MSCI's final take on the domestic equity market's classification in November, however, equity markets find little favour**.** Nonetheless, material improvements in the stock listings and regulatory requirements undertaken by the stock market and financial regulators are expected to contribute to the medium-term stability of the capital markets.

Key domestic risks that plagued the economy in the first half of the year have been alleviated to some extent, while a few other monitorables remain.

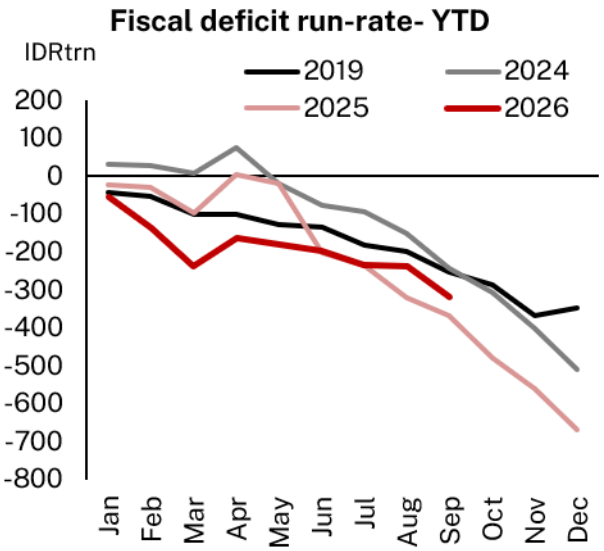
NEAR-TERM FISCAL WORRIES RECEDE

Fiscal fears have moderated in the near term. New Finance Minister Suahasil Nazara reaffirmed the government's commitment to maintain the annual deficit below -3% of GDP threshold. The 2026 run-rate suggests that the deficit is likely to close within the budgeted target.

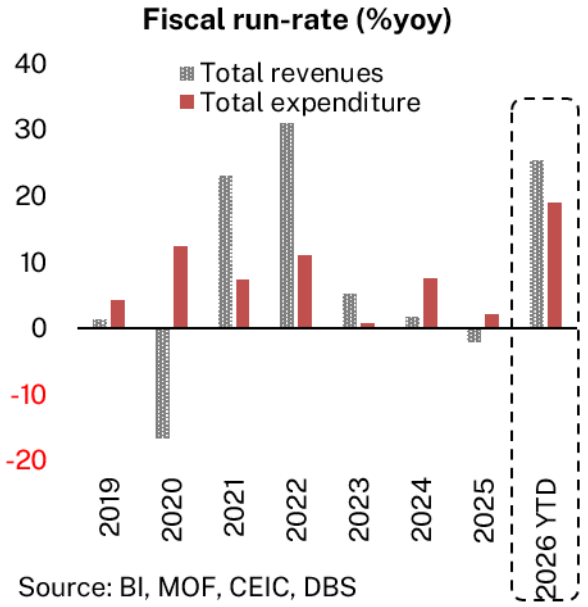
By September 2026, the fiscal deficit stood at 1.2% of GDP, reflecting a normalisation in spending and firm revenue growth. Total spending rose by a still-strong 19% yoy, even though the pace moderated from 1H, backed by disbursements towards the flagship free food program, subsidy and compensation outlays, as well as personnel expenditure. Realised expenditure stood at 69% of the full-year budget by 9M26.

On the other hand, revenues rose sharply by 25.5% yoy (partly benefiting from base effects as readings were negative at the same time last year), helped by higher tax collections, export duties, and non-tax receipts. Revenues have already accounted for 74% of the budgeted scale by 9M26, suggesting full-year target is likely to be met.

Global crude prices are a key risk for the fiscal outlook, as prevailing Brent prices are above $100bl at the time of writing (vs budgeted ICP at $70bl), which will feed through higher subsidy and compensation outgoes, as authorities remain hesitant to raise fuel pump prices.



Source: BI, Bloomberg, CEIC, DBS



Source: BI, MOF, CEIC, DBS

Significant efficiency measures have, however, been put in place to contain spending, including reductions in outlays towards flagship schemes, which will help contain the extent of deterioration in the fiscal math. For instance, the flagship MBG program, which started with an allocation of IDR 35trn, was moderated to IDR 268trn (realised spending by Sep26 was IDR 153trn). Successive stimulus packages

have been announced but the scale has been contained.

2027 math signals fiscal prudence, soft spots warrant attention

The official goalposts for 2027 point to a continued preference for fiscal prudence rather than fiscal activism.

Spending is on course to surpass the symbolic IDR 4000tn level, rising nearly 4% yoy, with outlays divided between the centre and regional governments. The mix points to steady allocations towards subsidies, social transfers, and capital expenditure, with ministry-level spending (K/L) set to contract, while non-K/L spending is budgeted to increase. More notably, spending is expected to rise on key flagship programs – for instance, social protection (up 10%), the largest component education (up 14%), which includes the free meals program at IDR 240trn.

APBN 2026: Budgeted & Official 2026 Outlook			
IDR tn	**APBN 2026**	**2026 - Revised**	**APBN 2027**
Revenue	3,153.60	3,208.10	3,435.0
Expenditure	3,842.70	3,942.40	4,106.0
Deficit	689.1	734.3	671.2
Deficit (% GDP)	2.68%	2.85%	2.40%

Source: MOF, press, DBS

Key economic assumptions		
	2026 State Budget	**2027 State Budget**
Growth, % yoy	5.4	6.0
Inflation. % yoy	2.5	2.5
10Y SBN	6.9	6.9
USDIDR	16,500	17,500
ICP ($bl)	70	75
Crude Oil Lifting – 1k bl/ day	610	612.5
Natural Gas Lifting - 1,000 barrels of oil/day	984	954

Source: MOF, press, DBS

On the revenue end, state revenues are expected to rise by 9% yoy compared to the budgeted 2026 APBN/ 7% vs the revised 2026 outlook. Compared to baseline 2026, tax revenues are expected to rise 10.5%, besides higher non-tax collections. **This math lands the 2027 budgeted deficit at -2.4% of GDP vs revised 2026 at -2.85% of GDP.**

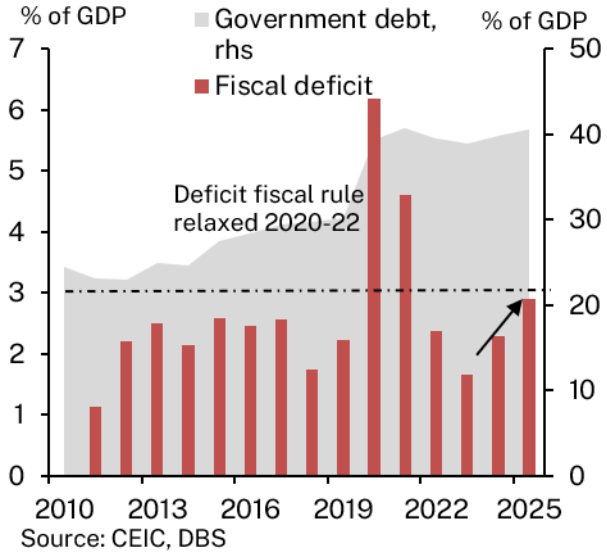
Few uncertainties that loom. Firstly, next year's math rests on an upbeat growth projection of 6.0% (DBSf 5.2%), besides modest depreciation in the rupiah and about a 7% increase in the Indonesia crude price assumption (see table). Some of these expectations might be challenged as the year unfolds. **Next**, state revenues are expected to rise to an upbeat 12.5% of GDP, likely riding on a strong growth forecast, better tax due diligence, and improved administration via the Coretax mechanism.

Thirdly, crude prices are a key risk to the fiscal math. Given the economy's position as a net oil importer, various official commentaries put the sensitivity at every $1pb oil worsening the fiscal balance by IDR 6trn, after accounting for oil-related revenues. This implies that for every $10pb increase, the deficit could be impacted by ~IDR 60trn, not far from MOF's sensitivity of IDR 68trn (~0.25-0.30% of GDP) due to higher subsidy and compensation costs (ICT assumed at $75bl vs prevailing Brent at $100bl). Spending will need to reprioritised to accommodate additional allocation towards subsidies and compensation.

Next, the direction of travel on the contribution of SOE dividends from the investment agency to the state coffers for 2027 remains unclear, after being accounted for this year. **Lastly**, successive stimulus measures in-kind and wage subsidies were announced this year and could marginally add to the strain in 2027 (0.1-0.2% of GDP).

Discussions around the State Finance Law also warrant a watch. We maintain our deficit forecast at a wider -2.8% to -2.9% range to account for any revenue shortfall or a gradual pace of growth. Nonetheless, deficits/debt are likely to stay below key thresholds and not emerge as a flashpoint for the markets.

Fiscal parameters within thresholds



Source: CEIC, DBS

MONETARY POLICY ON AN EVEN KEEL

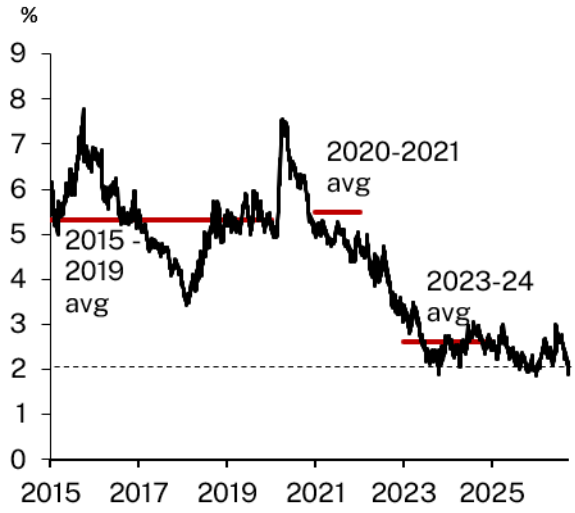
Bank Indonesia has left the benchmark rate unchanged since July 2026, after 100bp hikes in 1H26. While tighter global financial conditions and geopolitical risks were key risks on the horizon, the BI held the domestic GDP forecast at 4.9-5.7% (DBSf: 5.3%) alongside manageable inflation, notwithstanding El Nino-related risks. Inflation rose to 3.3% yoy in Sep26, towards the high end of the target range. Authorities have, however, assured that the impact of higher food prices due to poor weather will be addressed through administrative measures by regional bodies.

Contained inflation expectations have reduced the urgency for BI to tighten policy further, allowing policymakers to prioritise growth and financial stability considerations. The emphasis on strengthening the balance of payments position reflects continued caution over external financing conditions and capital flows. However, with the rupiah expected to remain stable on the back of policy measures and fundamentals, the BI did not view current external pressures as severe enough to warrant additional tightening.

BI introduced a host of measures at the June to September policy meetings, including FX monetary hedging instruments and a mechanism to provide foreign investors with greater flexibility in managing IDR-denominated investments in Indonesia.
These included –
a) swap hedging per tenor bucket was increased to 3M - 15%; 6M - 20%; 12M - 25%, from 12.5% earlier.
b) DNDF incentive was increased to 6M - 25% and 12M – 30%. An increase in FX/ NDF swap premium incentives for longer tenors will lower hedging costs and

encourage longer tenor positions, in turn increasing longevity of these flows;
c) Launch of the VASTRA scheme (FX Market Transactions for Hedging through Partner Banks) got underway, with the naming of 14 domestic partner banks. This facility is designed to help investors transact with lower underlying documentation requirements, tap into longer banking hours, and access onshore hedging facilities.
d) deepen FX and money markets by expanding Local Currency Transactions (LCT) between IDR and CNY, besides a few other currencies.

Indonesia-US 10Y spread narrows



Source: CEIC, DBS

Policymakers are likely to tap a combination of administrative and macroprudential measures rather than solely interest rates to defend the currency as well as keep inflationary expectations in check.

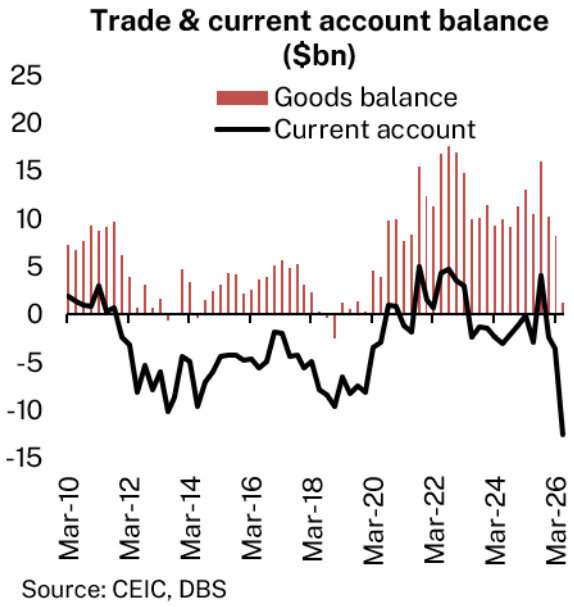
We expect the pause on rates to extend into 4Q26. This call might be at risk if depreciation pressures on the rupiah mount again on unfavourable global developments and if the US Fed undertakes a more aggressive hiking cycle than our baseline (of 75bp hikes).

WIDER CAD WILL BE PARTLY OFFSET BY POSITIVE FLOWS

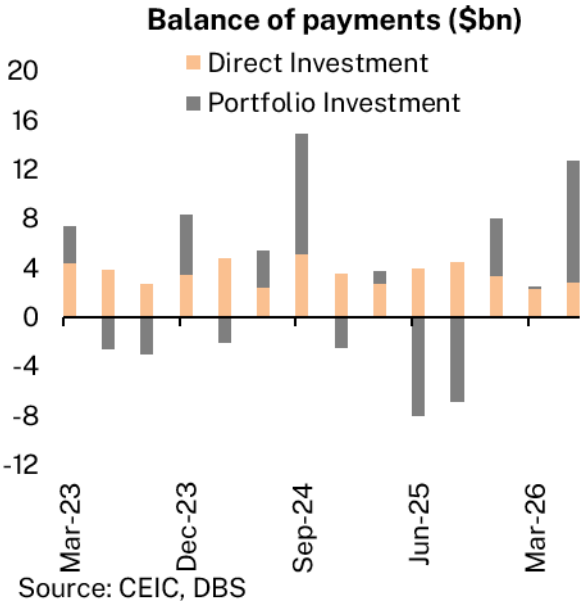
Indonesia's 1H26 current account deficit (CAD) widened significantly to -$16bn vs -$3bn in the comparable period a year ago. Much of this deterioration was led by a narrower goods trade balance, while the services deficit widened on the seasonal travel account due to the Hajj period. Higher coupon payments weighed on the primary account. This pressure is likely to persist in 2H as the oil & gas trade deficit remains wide and export performance has been firm but tracking lower than regional peers, likely also impacted by the El Nino phenomenon in key agri commodities. We expect full year CAD to be closer to 1.8-2% of GDP from -0.1% in 2025.

Much rests on the capital flows account. While 1H balance of payments (BOP) also widened, there was palpable improvement in 2Q26 vs 1Q. 2Q BOP narrowed significantly to $0.9bn from a wide $9.1bn in 1Q, helped by positive capital account flows – primarily stronger portfolio investment on SRBI and debt inflows, and net FDI position. This dependency is likely to extend to 2H, with capital flows till Sep26 holding up on account of hedging discounts and moves to improve inflows. Global conditions, including the narrow ID-US yields, however, warrant attention. Nonetheless, full-year BOP could remain

wide, on a scale comparable to the 2025 gap.



Source: CEIC, DBS



Source: CEIC, DBS

IN SUMMARY

IDR markets have been relatively steady in October despite higher oil prices and a bid dollar, though sentiment remains sensitive to external developments and swings in global risk appetite. USDIDR traded within 17600-18000, while 10Y yield hovered around 7.15-7.25%. A jump in the Aug goods trade surplus aided this respite, alongside foreign purchases of domestic debt, which have remained positive this month and on a YTD basis. Insurers, the central bank, and retail investors have remained key anchors for the bond market. SRBI rates are off highs to sub-7% levels but are attracting steady demand, likely encouraged by hedging discounts. An improved outlook for flows has helped contain spillovers from a wider current account deficit. This does not take away from the fact that the rupiah is amongst the worst performers on a year-to-date basis.

Separately, markets will also monitor developments in the political economy, institutional architecture, and formation, as well as the role of state-led agencies (e.g., DSI) and progress on the centralisation of decision-making. We expect the BI to keep on hold, however, pressure to tighten policy might return if the US Fed hikes rates well into 2027 and the US dollar benefits from a risk-off environment, weighing on the currency.

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The Week Ahead
Forecasts, data preview, central bank watch

9 October 2026

KEY DATA RELEASES AND EVENTS NEXT WEEK

- MAS may slightly steepen SGD NEER slope, keeping width and centre unchanged.
- Malaysia's Q3 GDP growth to reach 5.0% yoy.
- China's exports are expected to rise 25.7% yoy in September.



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KEY FORECAST FOR THE COMING WEEK

Event	DBS	Previous
Oct 12 (Mon)		
India: CPI (Sep)	5.7% y/y	4.8% y/y
Oct 14 (Wed)		
Singapore: MAS MPS	Tightening	Tightening
Singapore: GDP (3Q, A)	5.4% y/y	5.9% y/y
US: CPI (Sep)	3.3% y/y	3.4% y/y
India: exports (Sep)	19% y/y	26.1% y/y
- imports	4% y/y	14.1% y/y
- trade balance	-USD29bn	-USD26.7bn
China: exports (Sep)	25.7% y/y	25.0% y/y
- imports	27.2% y/y	28.2% y/y
- trade balance	USD108bn	USD119bn
- CPI (Sep)	1.0% y/y	0.8% y/y
Oct 16 (Fri)		
Singapore: non-oil domestic exports (Sep)	28.0% y/y	46.2% y/y
Malaysia: GDP (3Q, A)	5.0% y/y	6.0% y/y

The Week Ahead covers the key data releases and central bank events of the coming week, collating our macro forecasts.

CENTRAL BANK MEETINGS

Monetary Authority of Singapore (MAS)

We expect another slight increase in the SGD NEER policy band slope at the MAS' October review, with no change to the band's width or centre. Import cost pressures and resilient growth favour a calibrated tightening, rather than a more forceful adjustment, in line with the global monetary policy stance.

Also due to be released alongside the MAS' policy decision are the 3Q26 advance GDP estimates, which we expect to show another quarter of strong growth at 5.4% yoy (1.4% qoq sa), compared with 5.9% yoy (1.4% qoq sa) in 2Q26. Robust economic performance continued to be driven by artificial intelligence (AI)-led trade activity, supporting the manufacturing and wholesale trade sectors, while strength in the financial sector underpinned the resilience of the modern services cluster. This came despite a moderation of the transport & storage sector, and weakness in consumer-facing food services and retail sectors.

FORTHCOMING DATA RELEASES

Malaysia

We expect Malaysia's advance GDP estimate for 3Q26 to register above-trend growth of 5.0% yoy, albeit moderating from 6.0% yoy in 2Q26. The overall expansion continued to be supported by ongoing strength in the export-oriented manufacturing sector, underpinned by strong AI-related demand for electronics, and sustained domestic demand, backed by healthy investment and private consumption trends. However, contraction in mining and weak agricultural activity dragged overall growth.

Singapore

We expect firm Singapore non-oil domestic exports (NODX) growth of 28.0% yoy in September 2026, although moderating from August's exceptional surge of 46.2%. Although favourable base effects largely faded in September, electronics shipments likely remained the primary growth driver, underpinned by robust AI-related demand amid sustained global investment in AI infrastructure, while non-electronics exports were uneven.

China

Exports growth is expected to remain robust at 25.7% yoy in September, supported by continued strength in electronics demand. Both the official and Caixin manufacturing PMIs rose above the 50 expansion threshold during the month, pointing to improving manufacturing activity. External trade indicators also strengthened, with average daily deadweight tonnage handled at China's 20 major ports accelerating from -0.7% yoy in August to 7.2% in September. Freight activity improved as well, as growth in international cargo flights picked up from -1.4% yoy to 3.6% over the same period.

On the price front, factory-gate and raw material prices rebounded amid the renewed escalation in geopolitical tensions. Main raw material purchasing price and producer price subPMI increased from 56.6 and 50.4 to 60.8 and 54.0 during the period. However, downstream consumer price pressures are likely to remain relatively subdued under the pricing-band mechanism. As a result, CPI inflation is expected to edge up from 0.8% yoy in August to 1.0% in September. Nevertheless, soft domestic demand is expected to continue constraining the pace of consumer price increases.

India

September inflation is likely to gather momentum to 5.7% y/y, partly driven by base effects, from 4.8% the month before. Food segments continue to register gains, with pressures broadening to include perishables, edible oils, rice, pulses, sugar, etc., according to high-frequency data. Under non-food, retail pump prices have not been adjusted further, though other fuel products, such as non-subsidised LPG, diesel and ATF (still up by double digits y/y, though slower than in August), are up on the year. Core inflation is also likely to tick up, aligning with the central bank's view that price risks are no longer benign. Pressures have built up due to the overhang of an uneven and sub-par monsoon, drought conditions in parts of the country, and elevated oil prices. In the face of higher headline prints, we expect the RBI to keep the door open for another rate hike in December 2026.

GROWTH, INFLATION, POLICY RATES & FX FORECASTS

	GDP GROWTH, % YOY				CPI INFLATION, % YOY			
	2024	2025	2026f	2027f	2024	2025	2026f	2027f
CHINA	5.0	5.0	4.5	4.3	0.2	0.0	1.0	1.0
HONG KONG	2.5	3.5	3.8	2.8	1.5	1.4	2.0	2.0
INDIA	7.4	7.3	7.8	6.8	4.9	2.2	4.5	5.0
*INDIA (FISCAL YEAR) **	*7.2*	*7.8*	*7.3*	*6.8*	*4.6*	*2.1*	*5.3*	*4.7*
INDONESIA	5.0	5.1	5.3	5.1	2.3	1.9	3.3	2.2
MALAYSIA	5.2	5.2	5.2	4.5	1.8	1.4	2.0	2.0
PHILIPPINES**	5.6	4.5	4.7	5.0	3.2	1.7	6.5	5.5
SINGAPORE	5.3	5.0	5.0	3.0	2.4	0.9	2.2	2.0
SOUTH KOREA	2.0	1.0	3.5	2.4	2.3	2.1	2.6	2.7
TAIWAN	5.3	8.8	11.6	5.6	2.2	1.7	2.0	2.1
THAILAND	2.9	2.4	2.1	2.0	0.4	-0.1	1.7	1.0
VIETNAM	7.0	8.0	9.1	8.0	3.6	3.3	4.8	3.3
EUROZONE	0.7	1.5	1.2	1.2	2.3	2.2	3.1	2.1
JAPAN	0.1	1.2	0.9	1.0	2.7	3.2	1.8	1.5
UNITED STATES***	2.8	2.1	2.3	2.2	3.0	2.7	3.3	2.8

** 2020 = Fiscal year Apr20-Mar21 ** new CPI series *** eop for CPI inflation*

POLICY INTEREST RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
CHINA*	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
INDIA	5.25	5.25	5.25	5.75	6.00	6.00	6.00	6.00
INDONESIA	4.75	5.75	5.75	5.75	5.75	5.75	5.75	5.75
MALAYSIA	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75
PHILIPPINES	4.25	4.75	5.00	5.50	5.50	5.50	5.50	5.50
SINGAPORE**	1.16	1.16	1.60	1.80	2.00	2.00	2.00	2.00
SOUTH KOREA	2.50	2.50	3.00	3.25	3.25	3.25	3.25	3.25
TAIWAN	2.00	2.00	2.00	2.13	2.13	2.13	2.13	2.13
THAILAND	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
VIETNAM***	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50
EUROZONE^	2.00	2.25	2.50	2.75	3.00	3.00	3.00	3.00
JAPAN	0.75	1.00	1.25	1.25	1.50	1.75	1.75	1.75
UNITED STATES	3.75	3.75	4.00	4.25	4.50	4.50	4.50	4.50

** 1-yr Loan Prime Rate; ** 3M SORA OIS ; *** refinancing rate; ^ deposit facility rate*

EXCHANGE RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
USD/CNY	6.89	6.79	6.69	6.60	6.63	6.65	6.68	6.70
USD/HKD	7.84	7.84	7.83	7.83	7.83	7.83	7.83	7.83
USD/INR	94.8	94.7	95.8	95.6	95.7	95.8	95.9	96.0
USD/IDR	17041	17907	17720	17400	17470	17530	17600	17660
USD/MYR	4.05	4.08	4.07	4.00	4.04	4.08	4.11	4.15
USD/PHP	60.7	61.3	62.6	61.5	62.1	62.8	63.4	64.0
USD/SGD	1.29	1.29	1.28	1.26	1.27	1.27	1.28	1.29
USD/KRW	1516	1549	1395	1400	1410	1420	1425	1435
USD/THB	32.6	33.2	33.3	32.6	32.8	32.9	33.0	33.2
USD/VND	26340	26310	26000	25840	25980	26120	26260	26400
AUD/USD	0.69	0.69	0.71	0.71	0.71	0.70	0.70	0.70
EUR/USD	1.16	1.14	1.15	1.18	1.17	1.17	1.16	1.15
USD/JPY	159	163	156	151	153	154	155	157
GBP/USD	1.32	1.33	1.34	1.36	1.35	1.34	1.33	1.32

INTEREST RATE FORECASTS

		2026				2027			
		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
US	3M SOFR OIS	3.68	3.75	3.90	4.15	4.40	4.40	4.40	4.40
	2Y	3.79	4.16	4.60	4.65	4.70	4.70	4.70	4.70
	10Y	4.32	4.45	5.00	5.10	5.20	5.20	5.20	5.20
	10Y-2Y	52	29	40	45	50	50	50	50
Japan	3M TIBOR	1.27	1.41	1.50	1.60	1.75	1.85	1.85	1.85
	2Y	1.35	1.39	1.60	1.70	1.85	1.95	1.95	1.95
	10Y	2.35	2.72	2.80	2.85	2.95	3.00	3.00	3.00
	10Y-2Y	100	133	120	115	110	105	105	105
Eurozone	3M EURIBOR	2.08	2.32	2.70	2.95	2.95	2.95	2.95	2.95
	2Y	2.62	2.53	2.90	3.00	3.00	3.00	3.00	3.00
	10Y	3.00	2.86	3.30	3.40	3.50	3.60	3.70	3.80
	10Y-2Y	39	33	40	40	50	60	70	80
Indonesia	IDR 3M OIS	4.12	6.45	5.90	5.90	5.90	5.90	5.90	5.90
	2Y	6.31	7.21	6.90	6.80	6.70	6.65	6.60	6.50
	10Y	6.86	7.16	7.00	6.95	6.90	6.90	6.90	6.90
	10Y-2Y	55	-5	10	15	20	25	30	40
Malaysia	3M KLIBOR	3.37	3.45	3.35	3.35	3.35	3.35	3.35	3.35
	3Y	3.26	3.26	3.35	3.30	3.30	3.25	3.25	3.25
	10Y	3.63	3.60	3.80	3.85	3.85	3.85	3.80	3.80
	10Y-3Y	37	35	45	55	55	60	55	55
Philippines	3M NDF implied yield	6.09	4.94	5.55	6.05	6.05	6.05	6.05	6.05
	2Y	5.42	6.08	6.20	6.25	6.25	6.30	6.35	6.35
	10Y	6.98	6.90	7.35	7.45	7.50	7.55	7.60	7.65
	10Y-2Y	156	82	115	120	125	125	125	130
Singapore	3M SORA OIS	1.16	1.16	1.60	1.80	2.00	2.00	2.00	2.00
	2Y	1.61	1.58	1.95	2.10	2.20	2.20	2.20	2.20
	10Y	2.29	2.04	2.50	2.60	2.70	2.70	2.70	2.70
	10Y-2Y	68	45	55	50	50	50	50	50
Thailand	3M BIBOR	1.15	1.15	1.15	1.15	1.15	1.15	1.15	1.15
	2Y	1.41	1.14	1.15	1.20	1.25	1.30	1.35	1.35
	10Y	2.23	2.04	2.10	2.20	2.30	2.40	2.50	2.60
	10Y-2Y	82	90	95	100	105	110	115	125
China	1Y LPR	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
	2Y	1.37	1.25	1.25	1.25	1.25	1.25	1.25	1.25
	10Y	1.86	1.73	1.75	1.80	1.80	1.85	1.85	1.85
	10Y-2Y	48	48	50	55	55	60	60	60
Hong Kong, SAR	3M HIBOR	2.36	2.97	3.10	3.35	3.60	3.60	3.60	3.60
	2Y*	2.82	3.43	3.90	3.95	4.00	4.00	4.00	4.00
	10Y*	3.08	3.45	4.20	4.30	4.40	4.40	4.40	4.40
	10Y-2Y	26	2	30	35	40	40	40	40
Korea	3M CD	2.82	2.92	3.25	3.50	3.50	3.50	3.50	3.50
	3Y	3.56	3.70	3.75	3.90	3.90	3.90	3.90	3.90
	10Y	3.88	4.07	4.20	4.35	4.35	4.35	4.35	4.35
	10Y-3Y	32	37	45	45	45	45	45	45
India	3M MIBOR	7.25	6.61	6.30	6.80	6.80	6.80	6.80	6.80
	2Y	6.37	5.99	6.50	6.70	6.75	6.75	6.75	6.75
	10Y	7.04	6.75	7.00	7.10	7.15	7.15	7.15	7.15
	10Y-2Y	67	76	50	40	40	40	40	40

%, eop, govt bond yield for 2Y and 10Y, spread bps
Sources: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research (forecasts and transformations)

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The Week Ahead
Forecasts, data preview, central bank watch

2 October 2026

KEY DATA RELEASES AND EVENTS NEXT WEEK

- RBI to hike the policy rate by 25bps
- Strong trade and production data from Malaysia and Taiwan are likely
- Thailand to report a sizeable pick-up in inflation



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The Week Ahead covers the key data releases and central bank events of the coming week, collating our macro forecasts.

KEY FORECAST FOR THE COMING WEEK

Event	DBS	Previous
Oct 6 (Tue)		
Philippines: Inflation (Sep)	6.8% y/y	6.1% y/y
Thailand: Inflation (Sep)	3.2% y/y	2.5% y/y
Oct 7 (Wed)		
India: RBI repurchase rate	5.50%	5.25%
Taiwan: Inflation (Sep)	2.4% y/y	2.04% y/y
Oct 8 (Thu)		
Taiwan: exports (Sep)	41.9% y/y	44.3% y/y
- imports	44.0% y/y	41% y/y
- trade balance	$16.6bn	$22.3bn
Oct 9 (Fri)		
Malaysia: industrial production (Aug)	5.8% y/y	4.7% y/y

CENTRAL BANK MEETINGS

India: RBI monetary policy committee meeting (7-Oct)

The macro environment has undergone significant changes since the RBI monetary policy committee's (MPC) August policy meeting, with global oil prices rising past $100bl, and US Fed kickstarting their rate hike cycle. Domestically, core and headline continued to rise, laying the ground for inflation to quicken beyond 5.8-6.0% in the second half as price risks broaden. Strong 1QFY27 GDP growth meanwhile pointed to the economy's relative resilience to external shocks.

Besides fuel feeding into food costs, weather has also proved to be disruptive, with indications that the El Niño phenomenon could extend into 2027. International food benchmarks, including the UN Food Price index and the Bloomberg spot agricultural indices, continue to climb. India's food inflation has become more broad-based, shifting beyond vegetables and pulses to sugar, milk, protein groups, and edible oils. Sub-par weather has contributed to this upmove, besides idiosyncratic factors like swing in production trends (cobweb), diversion for fuel usage etc.

After two years of normal monsoon, cumulative southwest rainfall this year is set to end with rainfall around 12-13% below the long-term average, the most since 2015 and resulting in a slower build-up in reservoir levels.

Global benchmark oil price gauge has averaged ~$93pb in FY27 year-to-date, up 36% yoy vs FY26. Retail pump fuel prices were adjusted in quick succession in May26 and have been left unchanged since then, while other fuel products including CNG, aviation fuel, LPG etc have continued to climb. Add to this, other pockets like telecom, restaurants, business services, transport fares etc have been inching up, reflecting early signs of broadening in price pressures (on sequential basis). A gradual broadening of price pressures is likely to keep headline inflation high and narrow the real rate buffer significantly.

Authorities are also conducting liquidity absorption measures through market operations like VRRR, open market operations and sell-buy FX swaps. This is likely to align the overnight call money rates to the benchmark repo rate, after having fallen sharply due to the surplus in the banking system. Liquidity and core inflation have historically displayed a modest positive relationship, as per our study. As such, the RBI's inflation mandate has likely reinforced the push to drain excess liquidity.

We expect the RBI MPC to raise the repo rate by 25bp to 5.5%, citing pipeline inflationary pressures. Stance could be changed to withdrawal of accommodation to signal hawkish intent. We expect one more hike within 4Q26, though the odds of additional hikes have risen as oil prices stay stubbornly high and weather remains unfavourable.

FORTHCOMING DATA RELEASES

Malaysia

We expect industrial production to grow by 5.8% yoy in August from 4.7% yoy in July. Strength in export-oriented manufacturing is likely to persist, supported by sustained demand for artificial intelligence-related electronics goods, while mining output may have recovered from its contraction in July.

Taiwan

September trade and inflation data are forthcoming. Export growth is expected to sustain the 40% pace seen in the previous month. The global AI boom is facing rising headwinds from synchronised rate hikes by G3 central banks, higher bond yields, and rising financing costs. That said, there are so far no clear signs of a significant slowdown, based on the high-frequency indicators we track across AI demand, investment, and supply.

CPI is expected to rebound to 2.4% YoY in September, up from 2.0% in August. The earlier arrival of the Mid-Autumn Festival this year may have boosted food and services prices on a YoY basis. The rebound in global energy prices should also have lifted transport costs, including gasoline prices and airfares. While electricity tariffs will remain frozen, the December review implies a possibility of an electricity price hike after the local elections.

Given still-strong economic growth, persistent inflation, and the potential for inflation expectations to rise, we maintain our view that the central bank will raise the policy rate by a modest 12.5bps to 2.125% in December.

Thailand

We expect Thailand's headline inflation to accelerate to 3.2% yoy in September from 2.5% yoy in August, slightly exceeding the central bank's 1-3% inflation target. Faster increases in energy and food prices likely pushed overall inflation higher, despite an easing in electricity tariffs starting September. We expect the Bank of Thailand (BOT), which views the rise in inflation as largely supply-driven, to keep its policy rate stable at 1.00% for the remainder of 2026, aiming to support an economy with low and uneven growth.

GROWTH, INFLATION, POLICY RATES & FX FORECASTS

	GDP GROWTH, % YOY				CPI INFLATION, % YOY			
	2024	2025	2026f	2027f	2024	2025	2026f	2027f
CHINA	5.0	5.0	4.5	4.3	0.2	0.0	1.0	1.0
HONG KONG	2.5	3.5	3.8	2.8	1.5	1.4	2.0	2.0
INDIA	7.4	7.3	7.8	6.8	4.9	2.2	4.5	4.2
*INDIA (FISCAL YEAR) **	*7.2*	*7.8*	*7.3*	*6.8*	*4.6*	*2.1*	*4.9*	*4.0*
INDONESIA	5.0	5.1	5.3	5.1	2.3	1.9	3.3	2.2
MALAYSIA	5.2	5.2	5.2	4.5	1.8	1.4	2.0	2.0
PHILIPPINES**	5.6	4.5	4.7	5.0	3.2	1.7	6.5	4.0
SINGAPORE	5.3	5.0	5.0	3.0	2.4	0.9	2.2	2.0
SOUTH KOREA	2.0	1.0	3.5	2.4	2.3	2.1	2.6	2.7
TAIWAN	5.3	8.8	11.6	5.6	2.2	1.7	2.0	2.1
THAILAND	2.9	2.4	2.1	2.0	0.4	-0.1	1.7	1.0
VIETNAM	7.0	8.0	8.0	7.3	3.6	3.3	4.8	3.3
EUROZONE	0.7	1.5	1.2	1.2	2.3	2.2	3.1	2.1
JAPAN	0.1	1.2	0.9	1.0	2.7	3.2	1.8	1.5
UNITED STATES***	2.8	2.1	2.3	2.2	3.0	2.7	3.3	2.8

** 2020 = Fiscal year Apr20-Mar21 ** new CPI series *** eop for CPI inflation*

POLICY INTEREST RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
CHINA*	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
INDIA	5.25	5.25	5.25	5.75	5.75	5.75	5.75	5.75
INDONESIA	4.75	5.75	5.75	5.75	5.75	5.75	5.75	5.75
MALAYSIA	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75
PHILIPPINES	4.25	4.75	5.00	5.25	5.25	5.25	5.25	5.25
SINGAPORE**	1.16	1.16	1.60	1.80	2.00	2.00	2.00	2.00
SOUTH KOREA	2.50	2.50	3.00	3.25	3.25	3.25	3.25	3.25
TAIWAN	2.00	2.00	2.00	2.13	2.13	2.13	2.13	2.13
THAILAND	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
VIETNAM***	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50
EUROZONE^	2.00	2.25	2.50	2.75	3.00	3.00	3.00	3.00
JAPAN	0.75	1.00	1.25	1.25	1.50	1.75	1.75	1.75
UNITED STATES	3.75	3.75	4.00	4.25	4.50	4.50	4.50	4.50

** 1-yr Loan Prime Rate; ** 3M SORA OIS ; *** refinancing rate; ^ deposit facility rate*

EXCHANGE RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
USD/CNY	6.89	6.79	6.69	6.60	6.63	6.65	6.68	6.70
USD/HKD	7.84	7.84	7.83	7.83	7.83	7.83	7.83	7.83
USD/INR	94.8	94.7	95.8	95.6	95.7	95.8	95.9	96.0
USD/IDR	17041	17907	17720	17400	17470	17530	17600	17660
USD/MYR	4.05	4.08	4.07	4.00	4.04	4.08	4.11	4.15
USD/PHP	60.7	61.3	62.6	61.5	62.1	62.8	63.4	64.0
USD/SGD	1.29	1.29	1.28	1.26	1.27	1.27	1.28	1.29
USD/KRW	1516	1549	1395	1400	1410	1420	1425	1435
USD/THB	32.6	33.2	33.3	32.6	32.8	32.9	33.0	33.2
USD/VND	26340	26310	26000	25840	25980	26120	26260	26400
AUD/USD	0.69	0.69	0.71	0.71	0.71	0.70	0.70	0.70
EUR/USD	1.16	1.14	1.15	1.18	1.17	1.17	1.16	1.15
USD/JPY	159	163	156	151	153	154	155	157
GBP/USD	1.32	1.33	1.34	1.36	1.35	1.34	1.33	1.32

INTEREST RATE FORECASTS

		2026				2027			
		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
US	3M SOFR OIS	3.68	3.75	3.90	4.15	4.40	4.40	4.40	4.40
	2Y	3.79	4.16	4.60	4.65	4.70	4.70	4.70	4.70
	10Y	4.32	4.45	5.00	5.10	5.20	5.20	5.20	5.20
	10Y-2Y	52	29	40	45	50	50	50	50
Japan	3M TIBOR	1.27	1.41	1.50	1.60	1.75	1.85	1.85	1.85
	2Y	1.35	1.39	1.60	1.70	1.85	1.95	1.95	1.95
	10Y	2.35	2.72	2.80	2.85	2.95	3.00	3.00	3.00
	10Y-2Y	100	133	120	115	110	105	105	105
Eurozone	3M EURIBOR	2.08	2.32	2.70	2.95	2.95	2.95	2.95	2.95
	2Y	2.62	2.53	2.90	3.00	3.00	3.00	3.00	3.00
	10Y	3.00	2.86	3.30	3.40	3.50	3.60	3.70	3.80
	10Y-2Y	39	33	40	40	50	60	70	80
Indonesia	IDR 3M OIS	4.12	6.45	5.90	5.90	5.90	5.90	5.90	5.90
	2Y	6.31	7.21	6.90	6.80	6.70	6.65	6.60	6.50
	10Y	6.86	7.16	7.00	6.95	6.90	6.90	6.90	6.90
	10Y-2Y	55	-5	10	15	20	25	30	40
Malaysia	3M KLIBOR	3.37	3.45	3.35	3.35	3.35	3.35	3.35	3.35
	3Y	3.26	3.26	3.35	3.30	3.30	3.25	3.25	3.25
	10Y	3.63	3.60	3.80	3.85	3.85	3.85	3.80	3.80
	10Y-3Y	37	35	45	55	55	60	55	55
Philippines	3M NDF implied yield	6.09	4.94	5.55	6.05	6.05	6.05	6.05	6.05
	2Y	5.42	6.08	6.20	6.25	6.25	6.30	6.35	6.35
	10Y	6.98	6.90	7.35	7.45	7.50	7.55	7.60	7.65
	10Y-2Y	156	82	115	120	125	125	125	130
Singapore	3M SORA OIS	1.16	1.16	1.60	1.80	2.00	2.00	2.00	2.00
	2Y	1.61	1.58	1.95	2.10	2.20	2.20	2.20	2.20
	10Y	2.29	2.04	2.50	2.60	2.70	2.70	2.70	2.70
	10Y-2Y	68	45	55	50	50	50	50	50
Thailand	3M BIBOR	1.15	1.15	1.15	1.15	1.15	1.15	1.15	1.15
	2Y	1.41	1.14	1.15	1.20	1.25	1.30	1.35	1.35
	10Y	2.23	2.04	2.10	2.20	2.30	2.40	2.50	2.60
	10Y-2Y	82	90	95	100	105	110	115	125
China	1Y LPR	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
	2Y	1.37	1.25	1.25	1.25	1.25	1.25	1.25	1.25
	10Y	1.86	1.73	1.75	1.80	1.80	1.85	1.85	1.85
	10Y-2Y	48	48	50	55	55	60	60	60
Hong Kong, SAR	3M HIBOR	2.36	2.97	3.10	3.35	3.60	3.60	3.60	3.60
	2Y*	2.82	3.43	3.90	3.95	4.00	4.00	4.00	4.00
	10Y*	3.08	3.45	4.20	4.30	4.40	4.40	4.40	4.40
	10Y-2Y	26	2	30	35	40	40	40	40
Korea	3M CD	2.82	2.92	3.25	3.50	3.50	3.50	3.50	3.50
	3Y	3.56	3.70	3.75	3.90	3.90	3.90	3.90	3.90
	10Y	3.88	4.07	4.20	4.35	4.35	4.35	4.35	4.35
	10Y-3Y	32	37	45	45	45	45	45	45
India	3M MIBOR	7.25	6.61	6.30	6.80	6.80	6.80	6.80	6.80
	2Y	6.37	5.99	6.50	6.70	6.75	6.75	6.75	6.75
	10Y	7.04	6.75	7.00	7.10	7.15	7.15	7.15	7.15
	10Y-2Y	67	76	50	40	40	40	40	40

%, eop, govt bond yield for 2Y and 10Y, spread bps
Sources: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research (forecasts and transformations)

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The Week Ahead
Forecasts, data preview, central bank watch

25 September 2026

KEY DATA RELEASES AND EVENTS NEXT WEEK

- Hong Kong retail sales rebound on the cards.
- Regional inflation data to show elevated upside risks.
- Singapore August production to show continued upward momentum.



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The Week Ahead covers the key data releases and central bank events of the coming week, collating our macro forecasts.

KEY FORECAST FOR THE COMING WEEK

Event	DBS	Previous
Sep 28 (Mon)		
India: industrial production (Aug)	8.0% y/y	6.7% y/y
Singapore: industrial production (Aug)	19.0% y/y	6.8% y/y
Sep 29 (Tue)		
Japan: industrial production (Aug)	6.1% y/y	3.9% y/y
South Korea: industrial production (Aug)	4.0% y/y	3.6% y/y
Oct 1 (Thu)		
Indonesia: exports (Aug)	4.3% y/y	6.1% y/y
- imports	31.7% y/y	27.0% y/y
- trade balance	USD500mn	USD130mn
- CPI (Sep)	3.3% y/y	3.2% y/y
South Korea: exports (Sep)	60.6% y/y	68.7% y/y
- imports	21.5% y/y	22.4% y/y
- trade balance	USD37.3bn	USD34.8bn
Oct 2 (Fri)		
US: change in nonfarm payrolls (Sep)	75k	162k
Eurozone: CPI (Sep)	3.3% y/y	3.2% y/y
Hong Kong: retail sales (Aug)	7.8% y/y	4.5% y/y
South Korea: CPI (Sep)	3.0% y/y	3.1% y/y
Oct 3 (Sat)		
Vietnam: GDP (3Q)	9.4% y/y	8.4% y/y
Vietnam: exports (Sep)	20.5% y/y	26.0% y/y
- imports	33.5% y/y	37.9% y/y
- trade balance	-USD1.7bn	-USD0.1bn
- retail sales YoY YTD (Sep)	13.5% y/y	13.3% y/y
Vietnam: CPI (Sep)	5.0% y/y	4.9% y/y

FORTHCOMING DATA RELEASES

Hong Kong SAR

Retail sales growth is expected to accelerate from 4.5% yoy in July to 7.8% in August, supported by an increase in visitor arrivals. The daily average of mainland visitor arrivals rebounded from 2.7% yoy in July to 13.3% in August. This significantly outpaced the growth in outbound tourism to 10.7% in August. The overall diffusion index improved during the month, with both the retail trade and restaurant sectors showing gains. Consumer prices remained steady at 1.7% yoy in August, while the prices of durable goods and food improved to 0.8% and 0.6% yoy, respectively.

Indonesia

September inflation is expected to stay high but not accelerate sharply from August. Headline CPI inflation is projected to rise marginally to 3.3% yoy in September from 3.2% in August. Continued rise in food prices, notably rice and perishables, is expected to be offset by steady subsidised fuel costs. Official price stabilisation measures and inter-province supply adjustments will help to limit the spillover impact of El Niño risks. Evolving inflation dynamics are consisted with the BI's decision to pause on rates, shifting attention instead towards managing near-term rupiah volatility and external risks.

South Korea

September trade and inflation data will be the key focus in the week ahead. Exports are expected to remain strong at around 60% yoy, supported by front-loading of shipments ahead of the Chuseok holiday (78.3% growth in the first 20 days of September). Headline CPI is expected to remain around 3% yoy, driven by festive demand for food and services ahead of Chuseok. We maintain our forecast for the Bank of Korea to deliver one more 25bps rate hike to 3.25% in 4Q. We do not rule out an additional 25bps hike to 3.50% if elevated global oil prices prove more persistent, adding further upside pressure to CPI in 4Q.

Singapore

We expect Singapore's industrial production growth to surge to 19.0% yoy in August 2026, sharply higher than the 6.8% yoy in July. This was partly flattered by favourable base effects, as August 2025 marked the lowest monthly reading of that year. The city-state's factory expansion continued to be driven primarily by strength in electronics and precision engineering, both of which are benefitting from the global artificial intelligence (AI) infrastructure build-out and sustained demand for AI hardware.

Vietnam

We expect Vietnam's real GDP growth to accelerate to 9.4% yoy in 3Q26, stepping up from 8.4% yoy in 2Q26. This growth surge was driven by broad-based strength across electronics production and exports, foreign and public

investments, and retail spending, notwithstanding evolving geopolitical developments. The stronger momentum was corroborated by high-frequency indicators from July-August, while September's data will likely be robust. In July-August, industrial production expanded by an average of 14.9% yoy (from 11.2% yoy average in 2Q26), goods exports grew by 25.5% yoy (gaining from 22.8% yoy in 2Q26), public investments remained robust, alongside resilient domestic and tourism spending, even as inflation remained elevated. Consequently, we see upside risks to our already-bullish 2026 GDP growth forecast of 8.0%.

GROWTH, INFLATION, POLICY RATES & FX FORECASTS

	GDP GROWTH, % YOY				CPI INFLATION, % YOY			
	2024	2025	2026f	2027f	2024	2025	2026f	2027f
CHINA	5.0	5.0	4.5	4.3	0.2	0.0	1.0	1.0
HONG KONG	2.5	3.5	3.8	2.8	1.5	1.4	2.0	2.0
INDIA	7.4	7.3	7.8	6.8	4.9	2.2	4.5	4.2
*INDIA (FISCAL YEAR) **	*7.2*	*7.8*	*7.3*	*6.8*	*4.6*	*2.1*	*4.9*	*4.0*
INDONESIA	5.0	5.1	5.3	5.1	2.3	1.9	3.3	2.2
MALAYSIA	5.2	5.2	5.2	4.5	1.8	1.4	2.0	2.0
PHILIPPINES	5.6	4.5	4.7	5.0	3.2	1.7	6.5	4.0
SINGAPORE	5.3	5.0	5.0	3.0	2.4	0.9	2.2	2.0
SOUTH KOREA	2.0	1.0	3.5	2.4	2.3	2.1	2.6	2.7
TAIWAN	5.3	8.8	11.6	5.6	2.2	1.7	2.0	2.1
THAILAND	2.9	2.4	2.1	2.0	0.4	-0.1	1.7	1.0
VIETNAM	7.0	8.0	8.0	7.3	3.6	3.3	4.8	3.3
EUROZONE	0.7	1.5	1.2	1.2	2.3	2.2	3.1	2.1
JAPAN	0.1	1.2	0.9	1.0	2.7	3.2	1.8	1.5
UNITED STATES	2.8	2.0	1.9	1.7	3.0	2.7	3.5	3.0

** 2024 represents Fiscal year 25; ending Mar 25*

POLICY INTEREST RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
CHINA*	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
INDIA	5.25	5.25	5.25	5.75	5.75	5.75	5.75	5.75
INDONESIA	4.75	5.75	5.75	5.75	5.75	5.75	5.75	5.75
MALAYSIA	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75
PHILIPPINES	4.25	4.75	5.00	5.25	5.25	5.25	5.25	5.25
SINGAPORE**	1.16	1.16	1.60	1.80	2.00	2.00	2.00	2.00
SOUTH KOREA	2.50	2.50	3.00	3.25	3.25	3.25	3.25	3.25
TAIWAN	2.00	2.00	2.00	2.13	2.13	2.13	2.13	2.13
THAILAND	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
VIETNAM***	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50
EUROZONE^	2.00	2.25	2.50	2.75	3.00	3.00	3.00	3.00
JAPAN	0.75	1.00	1.25	1.25	1.50	1.75	1.75	1.75
UNITED STATES	3.75	3.75	4.00	4.25	4.50	4.50	4.50	4.50

** 1-yr Loan Prime Rate; ** 3M SORA OIS ; *** refinancing rate; ^ deposit facility rate*

EXCHANGE RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
USD/CNY	6.89	6.79	6.69	6.60	6.63	6.65	6.68	6.70
USD/HKD	7.84	7.84	7.83	7.83	7.83	7.83	7.83	7.83
USD/INR	94.8	94.7	95.8	95.6	95.7	95.8	95.9	96.0
USD/IDR	17041	17907	17720	17400	17470	17530	17600	17660
USD/MYR	4.05	4.08	4.07	4.00	4.04	4.08	4.11	4.15
USD/PHP	60.7	61.3	62.6	61.5	62.1	62.8	63.4	64.0
USD/SGD	1.29	1.29	1.28	1.26	1.27	1.27	1.28	1.29
USD/KRW	1516	1549	1395	1400	1410	1420	1425	1435
USD/THB	32.6	33.2	33.3	32.6	32.8	32.9	33.0	33.2
USD/VND	26340	26310	26000	25840	25980	26120	26260	26400
AUD/USD	0.69	0.69	0.71	0.71	0.71	0.70	0.70	0.70
EUR/USD	1.16	1.14	1.15	1.18	1.17	1.17	1.16	1.15
USD/JPY	159	163	156	151	153	154	155	157
GBP/USD	1.32	1.33	1.34	1.36	1.35	1.34	1.33	1.32

INTEREST RATE FORECASTS

		2026				2027			
		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
US	3M SOFR OIS	3.68	3.75	3.90	4.15	4.40	4.40	4.40	4.40
	2Y	3.79	4.16	4.60	4.65	4.70	4.70	4.70	4.70
	10Y	4.32	4.45	5.00	5.10	5.20	5.20	5.20	5.20
	10Y-2Y	52	29	40	45	50	50	50	50
Japan	3M TIBOR	1.27	1.41	1.50	1.60	1.75	1.85	1.85	1.85
	2Y	1.35	1.39	1.60	1.70	1.85	1.95	1.95	1.95
	10Y	2.35	2.72	2.80	2.85	2.95	3.00	3.00	3.00
	10Y-2Y	100	133	120	115	110	105	105	105
Eurozone	3M EURIBOR	2.08	2.32	2.70	2.95	2.95	2.95	2.95	2.95
	2Y	2.62	2.53	2.90	3.00	3.00	3.00	3.00	3.00
	10Y	3.00	2.86	3.30	3.40	3.50	3.60	3.70	3.80
	10Y-2Y	39	33	40	40	50	60	70	80
Indonesia	IDR 3M OIS	4.12	6.45	5.90	5.90	5.90	5.90	5.90	5.90
	2Y	6.31	7.21	6.90	6.80	6.70	6.65	6.60	6.50
	10Y	6.86	7.16	7.00	6.95	6.90	6.90	6.90	6.90
	10Y-2Y	55	-5	10	15	20	25	30	40
Malaysia	3M KLIBOR	3.37	3.45	3.35	3.35	3.35	3.35	3.35	3.35
	3Y	3.26	3.26	3.35	3.30	3.30	3.25	3.25	3.25
	10Y	3.63	3.60	3.80	3.85	3.85	3.85	3.80	3.80
	10Y-3Y	37	35	45	55	55	60	55	55
Philippines	3M NDF implied yield	6.09	4.94	5.55	6.05	6.05	6.05	6.05	6.05
	2Y	5.42	6.08	6.20	6.25	6.25	6.30	6.35	6.35
	10Y	6.98	6.90	7.35	7.45	7.50	7.55	7.60	7.65
	10Y-2Y	156	82	115	120	125	125	125	130
Singapore	3M SORA OIS	1.16	1.16	1.60	1.80	2.00	2.00	2.00	2.00
	2Y	1.61	1.58	1.95	2.10	2.20	2.20	2.20	2.20
	10Y	2.29	2.04	2.50	2.60	2.70	2.70	2.70	2.70
	10Y-2Y	68	45	55	50	50	50	50	50
Thailand	3M BIBOR	1.15	1.15	1.15	1.15	1.15	1.15	1.15	1.15
	2Y	1.41	1.14	1.15	1.20	1.25	1.30	1.35	1.35
	10Y	2.23	2.04	2.10	2.20	2.30	2.40	2.50	2.60
	10Y-2Y	82	90	95	100	105	110	115	125
China	1Y LPR	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
	2Y	1.37	1.25	1.25	1.25	1.25	1.25	1.25	1.25
	10Y	1.86	1.73	1.75	1.80	1.80	1.85	1.85	1.85
	10Y-2Y	48	48	50	55	55	60	60	60
Hong Kong, SAR	3M HIBOR	2.36	2.97	3.10	3.35	3.60	3.60	3.60	3.60
	2Y*	2.82	3.43	3.90	3.95	4.00	4.00	4.00	4.00
	10Y*	3.08	3.45	4.20	4.30	4.40	4.40	4.40	4.40
	10Y-2Y	26	2	30	35	40	40	40	40
Korea	3M CD	2.82	2.92	3.25	3.50	3.50	3.50	3.50	3.50
	3Y	3.56	3.70	3.75	3.90	3.90	3.90	3.90	3.90
	10Y	3.88	4.07	4.20	4.35	4.35	4.35	4.35	4.35
	10Y-3Y	32	37	45	45	45	45	45	45
India	3M MIBOR	7.25	6.61	6.30	6.80	6.80	6.80	6.80	6.80
	2Y	6.37	5.99	6.50	6.70	6.75	6.75	6.75	6.75
	10Y	7.04	6.75	7.00	7.10	7.15	7.15	7.15	7.15
	10Y-2Y	67	76	50	40	40	40	40	40

*%, eop, govt bond yield for 2Y and 10Y, spread bps, *HKD swaps*
Sources: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research (forecasts and transformations)

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DBS Flash

India: Growth, liquidity and policy response

22 September 2026

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- *High frequency indicators might keep 2QFY growth close to 7%.*
- *Pace to moderate in 2HFY.*
- *Retail inflation is likely to continue rise and broaden in scope, necessitating a tighter policy bias. WPI likely to rise by double-digits.*
- *Special swap windows helped to stem bearish INR positioning.*
- *Organic capital flows need to catch up.*
- *Liquidity management is in focus, with a moderate correlation to inflation.*
- *Twin-deficit risks are partly offset by stronger macro buffers.*

GROWTH MOMENTUM TO SUSTAIN, EXTERNAL RISKS LINGER

India registered strong growth at the start of FY27. Sustaining this performance will depend increasingly on how effectively it navigates a more uncertain global environment. Besides trade fragmentation, geopolitical tensions leading to higher energy prices, and shifts in international capital flows present key external risks.

India joined its Southeast Asian peers in posting an upside surprise on growth in 1QFY27 (Apr-Jun26), up a firm 7.8% yoy. few points of note:

A) strong 1Q growth print reinforced the view that India's domestic demand cycle was more resilient than initially assumed, with consumption, public capex and manufacturing providing a solid base despite external shocks.

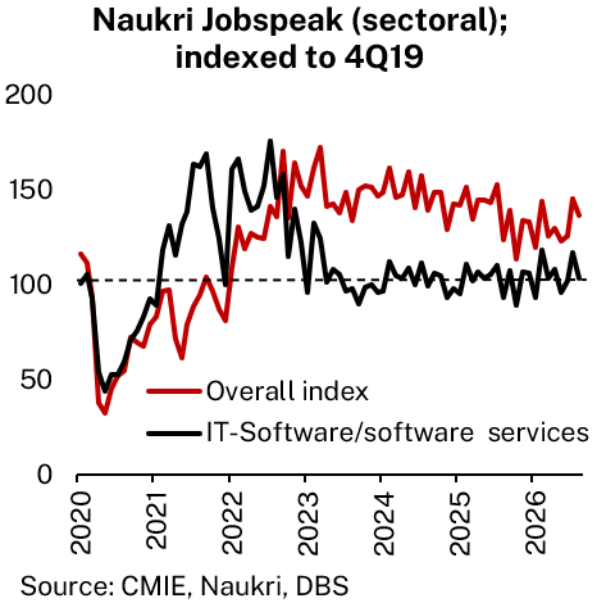
B) prevailing tailwinds by way of indirect tax relief in 4Q25, real rate buffer, and easier monetary conditions (earlier cuts), were also supportive;

C) nominal GDP growth returned above 10% after two years on higher deflators, though some segments like manufacturing faced negative deflators as input prices rose at a faster pace than output due to commodity price increases and import intensity;

D) Revisions to backdated numbers, to account for output PPI series, pushed up FY26 growth to 7.8% (from 7.7% earlier). Two prior years were also revised.

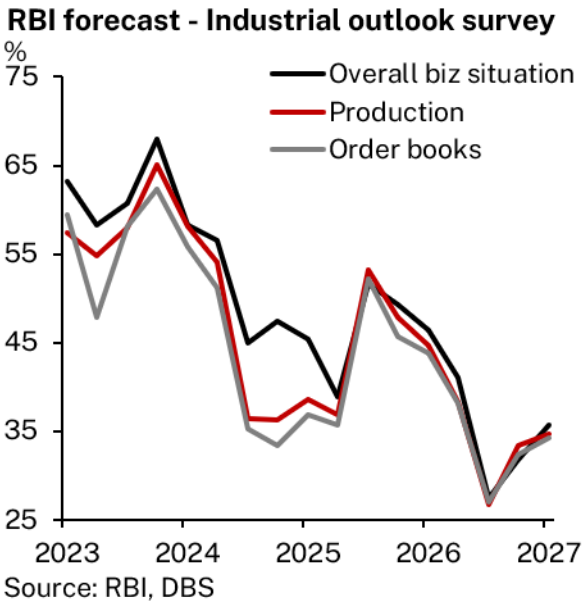
High-frequency indicators

Into July-August, high frequency indicators are holding up, including GST e-way bills, indirect tax revenues, electricity demand and growth in digital payments, while toll collections and petroleum consumption slipped. **For demand**, a contained extent of increase in retail pump prices shielded households from the surge in global crude prices, but other market linked fuel variants have climbed in recent months. On the employment front, job reductions were witnessed in the software sector, even as fresh opportunities were reported in global capability centres, electronics/ semiconductors, healthcare, auto/ ancillary etc. Wage growth in services has improved, manufacturing has been steady, while farm sector moderated, according to consumption surveys by CMIE.



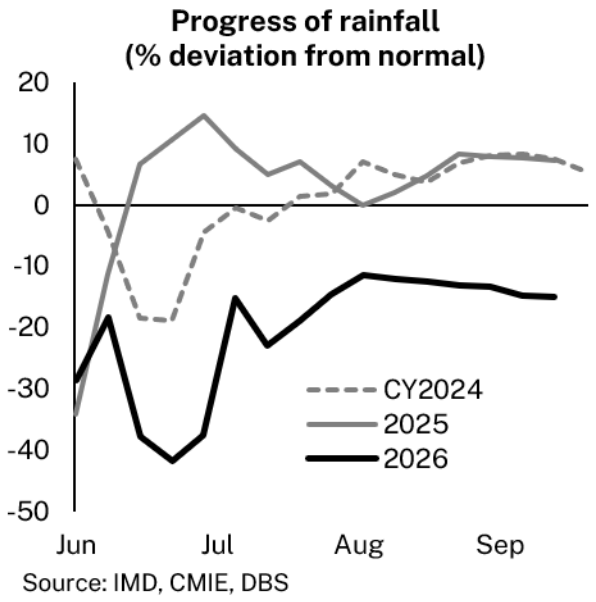
Source: CMIE, Naukri, DBS

Industry indicators are a mixed bag, with PMIs maintaining their foothold in the expansionary terrain, while production and eight core index growth come off highs. Auto production continues to expand, though output and sales might moderate in the next quarter on base effects due to indirect tax cuts in the same time year ago. Forward-looking firm surveys have improved, after initially coming under pressure.



Source: RBI, DBS

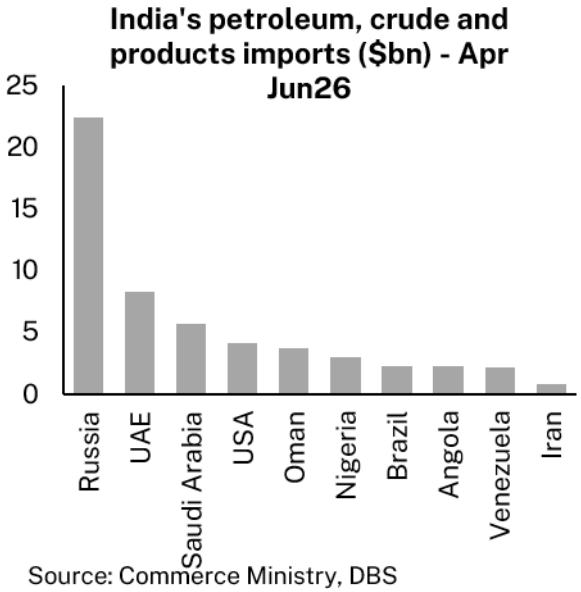
Sectors associated with rural demand might moderate amid weaker kharif sowing activity and lower reservoir levels impacting the rabi crop activity. Cumulative southwest monsoon is ~15% below the long-term average by tail end of the season. This takes the country on course to face its driest monsoon since 2009 (which was 18% below LPA). Uneven geographical spread is notable, with south and east India registering nearly 25% shortfall. While kharif sowing is on track with 99% of acreage completed, the winter crop might come under pressure as weather developments suggest El Niño could extend into 2027.



Source: IMD, CMIE, DBS

With nominal GDP growth to track 11-12% this fiscal year, corporate earnings growth is expected to fare better than recent few years. 1QFY27 performance had already set off the year on a strong note, barring selected sectors like O&G which faced sequential marginal pressures from operating costs. Add to this, the centre's capex growth is in firm double-digits, also backed by growth in core imports (non-oil non-gold).

On the external sector, despite better performance by exports, oil and electronics purchases have weighed on the goods math. **The trade deficit** is set to stay wide amidst elevated global crude cost, higher industrial fuels, cooking gas etc, even as a wider mix of suppliers have addressed energy shortages. **Notably, the net electronics deficit has widened considerably,** just as exports have improved. Likewise, core imports (ex oil ex gold) have stayed firm, which partly feeds into higher exports as well as broader domestic demand. Monthly service trade surplus has been rangebound around $17-18bn in recent months dwarfed by $25-$30bn goods gap.



Source: Commerce Ministry, DBS

Maintaining growth forecasts

High frequency indicators put 2QFY growth close to 7%. **We expect full year FY27 growth to average 7.3% yoy** from a revised 7.8% in FY26, assuming moderation in the momentum in the second half of the year on tighter policy conditions, lagged impact of high energy prices and base effects from indirect tax cuts last year fade. Assuming some spillover impact of exogenous uncertainties and tight financial conditions at home, we expect FY28 growth to average 6.8-7.0%.

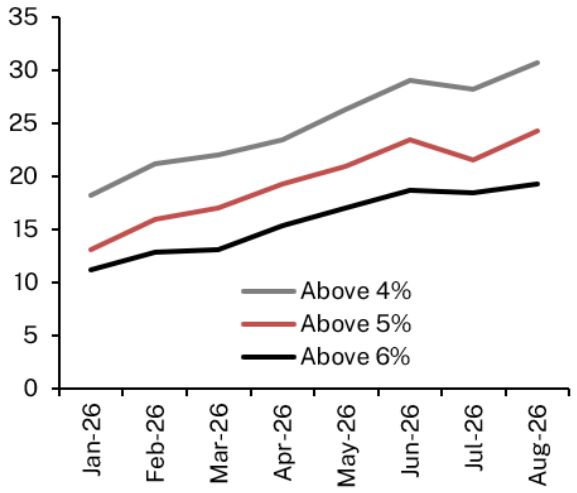
INFLATION OFF ITS BACK – THREE CATALYSTS

After two years of benign inflation, India's price trend is off its back this year, mainly on the back of three

catalysts: Food, energy and early signs of demand pass through.

Aug inflation rose to a 20-month high of 4.8% yoy from 4.5% month before. As the chart highlights, number of sub-segments growing by faster than the inflation target at 4% have continued to climb, pointing to a broadening out in the momentum.

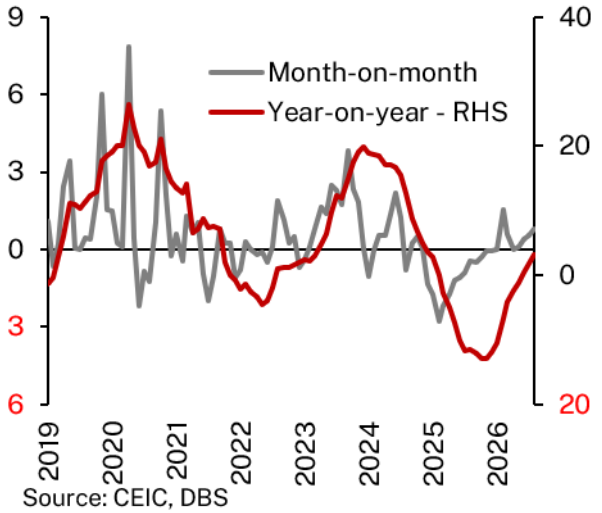
Percentage of CPI-segments above the target range mid-point



Source: CEIC, calculations are by DBS

Food inflation is gradually becoming more broad-based, shifting beyond vegetables and pulses to sugar, milk, protein groups, edible oils, amongst others. Sub-par weather has contributed to this upmove, besides idiosyncratic factors like swing in production trends, diversion for fuel usage etc. After two years of normal monsoon, cumulative southwest rainfall this year is currently 15% below the long-term average, alongside slower build-up in reservoir levels, which could impact upcoming rabi crops as well. El-Nino patterns continue to strengthen, adding to seasonal swings and risk of impacting farm output.

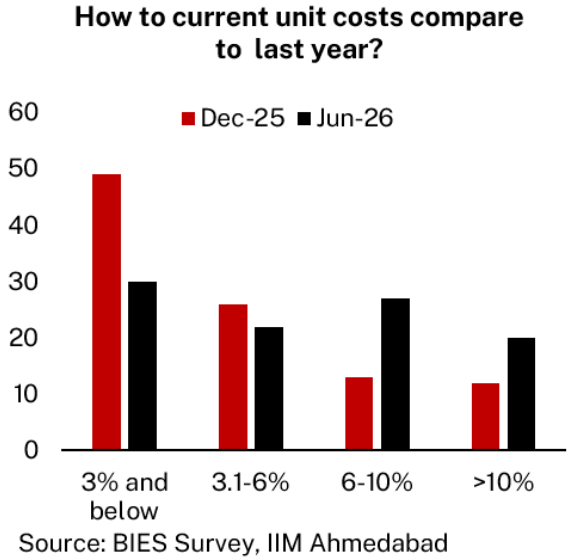
Pulses and products - inflation (average of 4 common varieties)



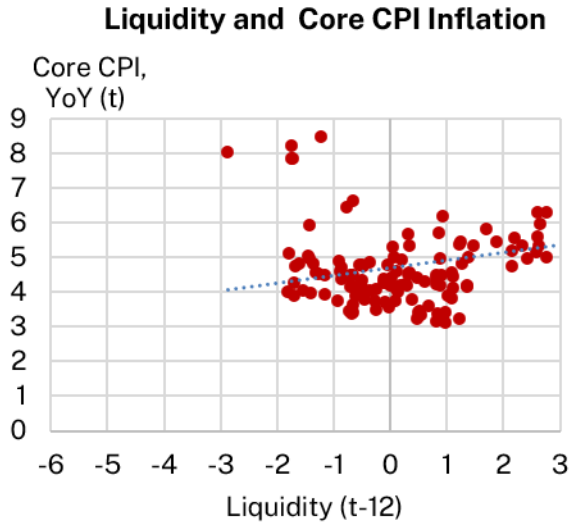
Source: CEIC, DBS

Beyond food, global oil prices have averaged ~$91pb in CY26, staying above $100pb for much of Seo26. Retail fuel prices were adjusted in quick succession back in May26 and have been left unchanged since then, while CNG, aviation fuel, LPG etc have continued to climb.

Transport inflation jumped to 4.6% yoy in Aug vs 0.1% in Jan26, besides utilities' component inching up. Business price expectation surveys (conducted by IIM Ahmedabad) have, nonetheless, captured businesses facing a notable increase in fuel costs, especially industrial fuels, base metals and derivative product groups. Imported price pressures are most notable in the producer price/ wholesale price indices. These gauges have been hovering at 9-10% yoy in recent months.



Source: BIES Survey, IIM Ahmedabad



Source: CEIC, BBG, DBS. Core CPI inflation ex food, fuel and light.

Lastly, core inflation (ex-food and fuel) rose to 1.5-month high in August, mainly due to a sequential rebound in precious metals – gold and silver jewellery. Excluding precious metals, the reading was more moderate at 2.9%, pointing to some extent of economic slack. Nonetheless, other pockets like telecom, restaurants, business services, transport fares etc have been inching up, reflecting early signs of broadening in price pressures (on sequential basis), warranting attention. These are set against the backdrop of strong bank credit growth, flush INR liquidity and resilience in headline growth.

Our correlation analysis between liquidity (as % of NDTL) and core inflation – see chart, points to a positive but modest corelation at 0.4 between the two variables, with an assumed year-worth lag on inflation. The inflation-fighting mandate will also push the central bank to reduce the surplus liquidity in the domestic system.

A sharp in global commodity prices is expected to feed into the wholesale price gauge, pushing up readings to double-digits next quarter.

A gradual broadening of price pressures is likely to keep headline inflation above 5% in second half of the fiscal year, sharply narrowing the real rate buffer, underscoring the need for a tighter policy bias. Add to this, recent developments, including a sustained rise in crude prices, tightening global financial conditions, firm domestic growth and signs of broadening in core pressures, strengthen the case for a shallow 50bp hike in second half of FY27, making October's meeting a live one.

TACKLING LIQUIDITY DELUGE, HIGHER YIELDS

Beating street estimates by a wide margin, the RBI's special swap windows raised a cumulative $143bn into Sep, with the highest contribution (~92%) by

FCNR(B) deposits at $133bn, while rest were via offshore borrowing facilities. These flows pushed up the foreign reserves stock to a fresh high past $780bn, providing considerable firepower to defend the currency. This is already noticeable in the recent shift in the intervention bias. USDINR, which was earlier stubbornly steady in the face of strong FCNR inflows but eased sharply due to strong intervention dollar sales and broader dollar swings, before being led higher due to external triggers.

Liquidity is a key watch factor. Given the swap arrangement, these inflows have added to already abundant INR liquidity backdrop, which was at a four year high, depressing overnight rates. The banking system surplus jumped past INR 10trn surpassing 2022 and Covid highs, with the durable balance widening sharply higher to INR 14trn, suppressing overnight call rates. This compares to average INR 1trn surplus in late-June.

While organic drivers like tax-related outflows, and seasonal currency leakage, in addition to CAD, portfolio outflows, and maturity of the forwards book will act as counter-balancing factors, yet concerted steps were required to drain the potential surge in liquidity.

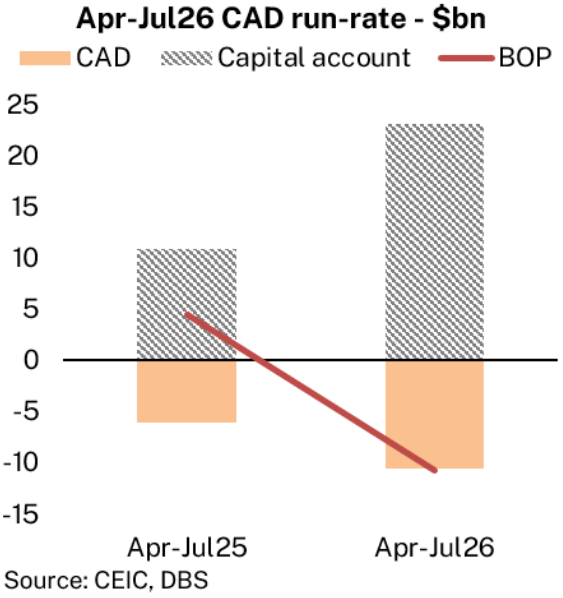
We discussed the various seasonal, near-term and permanent measures that the central bank might consider (see FCNR bonanza necessitates deft management) to absorb this surfeit. **Policymakers are being mindful of both the liquidity and signalling effects of the sterilisation tools at their disposal.** The RBI utilised tranches of market operations like VRRR across tenors, after which three tranches of open market operations (bonds maturing FY29 and FY32) worth a cumulative INR 1trn were conducted. These announcements fuelled a rise in yields, which were already inching up, tracking global counterparts. Sell/buy FX swaps for shorter rollovers were also being reportedly tapped.

When the dust settles, focus will also be on the bunched-up maturities that will fall due in 3Y and 5Y tenor of the deposits. A portion of the existing reserve stock could be earmarked against these liabilities, helping to mitigate concerns that deposit maturities or debt repayments could trigger a sharp increase in dollar demand and exert pressure on the FX market down the line. In the near-term, priorities will be to manage liquidity, gradually lower the sizeable forwards book, and support the domestic currency. Long-end yields continue to be influenced by the hardening global yields.

BALANCE OF PAYMENTS MATH TO BE COMFORTABLE

The FY27 current account math is expected to display two key counter trends, Firstly, the wider goods trade imbalance will raise the FY27 current account deficit. Secondly, the counterbalancing effect of a sharp improvement in the capital flows math will keep the annual balance of payments math in surplus.

India recorded a current account deficit (CAD) of $10.5bn during April-July 2026, compared with $6.1bn in the corresponding period last year. The deterioration was driven almost entirely by a wider merchandise trade deficit, which rose to $117.8bn from $97.1bn a year ago. Part of this offset by higher income, transfers and capital account flow. Capital flows found support from net FDI, portfolio investments and banking capital, especially NRI deposits (jumped sharply to $36bn vs $4.6bn same period last year), pushing up Apr-Jul26 BOP to $12.7bn surplus, more than double of $4.8bn same time last year.



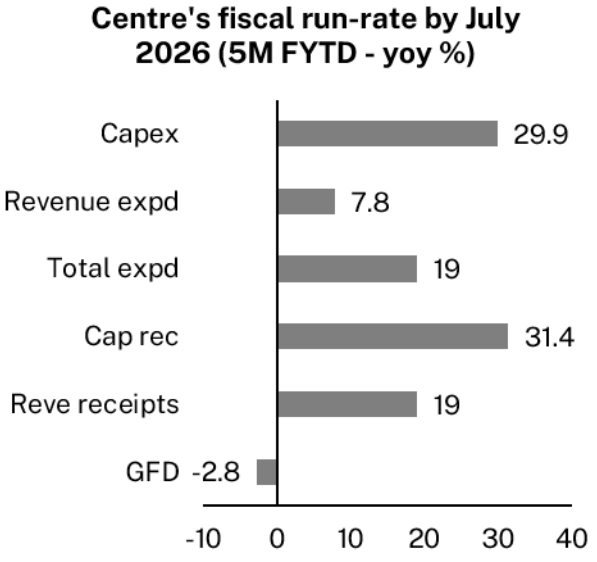
Source: CEIC, DBS

Oil prices are the main swing factor for the CAD this year, with the current run-rate tracking our forecast at -1.1% of GDP for FY27. This suggests that the widening in the CAD is commodity-price related rather than driven by higher demand.

On the other hand, capital flows are being buttressed by the special swap windows introduced by the central bank, which raised a cumulative $143bn between June and August, through non-resident deposits and external borrowings. This has helped to fill the gap from subdued portfolio flows and net investment trends. **We expect FY27 current account deficit to track -1.1% of GDP in FY27, with the balance of payments to register upwards of $80bn surplus (vs -$23.6bn deficit last year).** Into FY28, the dependency of capital flows on organic drivers like portfolio flows and FDI is set to increase, underscoring the need for higher vigilance.

FISCAL RUN-RATE

The FY27 fiscal run-rate points to a stronger revenue momentum, which has helped to keep the FYTD deficit in check, even as expenditure was frontloaded owing to subsidy payments and capex disbursements. April-July 2026 deficit stands at a third of the full-year balance.



Source: CGA, CEIC, DBS

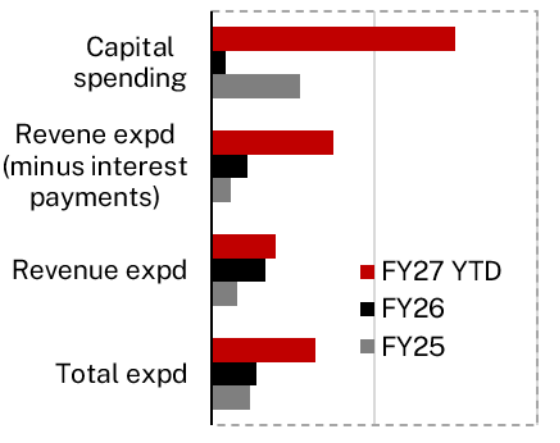
Both tax and non-tax receipts fared better than the comparable period year ago, helped by stronger corporate tax collections, STT transaction revenues, and RBI dividend, amongst others.

Setting 2QFY for a strong start, net direct tax collections rose 13% yoy by mid-Sep26, driven by net corporate tax collections up 19.5%. Net non-corporate tax collections were up 6%, besides STT collections up a sharp 53% yoy. Add to this, divestments have also fared better than expected this year, with ~78% raised by August, accompanied by dividends & profits (at 83% of budget by Jul26).

Under expenditure, about 33% of the full year allocation was allocated by July 2026. The subsidy outgo rose sharply, up 35% yoy, led by higher food at 23% and fertiliser at 46% (already accounting for nearly two-third of the full year budget) led by surging global DAP and urea prices. With global prices remaining high, the actual outgo might be higher than budgeted INR 1.7trn, likely towards INR 2.5trn. Capital spending also remained apace, up 30% yoy in first five months of the year.

Overall, strong growth in tax and non-tax receipts allowed the centre to sustain higher spending while containing the extent of fiscal slippage until July 2026 (FYTD). A strong nominal GDP rate (helped by higher inflation) will also provide a favourable denominator effect.

Central government expenditure - (% FYTD yoy)



Source: CEIC, CGA, DBS

IN SUM

The economy exhibited resilience in the face of a tough external environment in the first quarter, with part of that stability likely to extend to 2QFY27 as well. Tighter monetary conditions, El Nino impact and base effects from passage of post-indirect tax jump will moderate headline growth in 2HFY. Nonetheless for the year, we expected growth to stay north of 7%, factoring in a strong start.

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